

DRAFT GUIDANCE IN APPLYING ISAE 3000 (REVISED) TO EXTENDED EXTERNAL REPORTING (EER) – PHASE 2

CONTENTS

Draft Guidance in Applying ISAE 3000 (Revised) to Extended External Reporting (EER) – Phase 2	1
Chapter 1: Introduction	5
Background	5
Purpose of this Guidance.....	6
Terminology	6
Chapter 3: Agreeing the Scope and Determining Preconditions.....	9
Agreeing the Scope of an EER Engagement	9
Preconditions for Assurance	15
Chapter 4: Applying Appropriate Skills	22
Assignment of the Team (<i>refer to paragraph 32 of the standard for requirements</i>)	22
Competence and responsibilities of the engagement partner (<i>refer to ISAE 3000 (Revised) paragraph 31 and 33 for requirements</i>)	27
Chapter 5: Exercising Professional Skepticism and Professional Judgment.....	30
Introduction (<i>refer to paragraphs 37 to 39 of the standard for requirements</i>).....	30
The importance of professional skepticism and professional judgment in an EER engagement..	30
Acquiring and applying professional skepticism and professional judgment.....	31
Chapter 10: Obtaining Evidence.....	36
Introduction	36
1.Considerations when determining what evidence is needed and available may include the following:	38
2.Considerations when designing and performing procedures to obtain sufficient, appropriate evidence include:	39
3.Considerations when evaluating the sufficiency and appropriateness of evidence obtained include:	40
When determining what evidence is needed and available:.....	42
Chapter 11: Assuring Narrative Information	46
Introduction	46
Narrative Information.....	46

Specific Considerations for Determining the Suitability of Criteria.....	47
Specific Considerations for Using Assertions and Testing Narrative Information	49
Specific Considerations for Evaluating Misstatements in Narrative Information	55
Other Information Alongside Narrative Information	57
Chapter 12: Assuring Future-Oriented Information	58
Introduction	58
Specific Considerations for Determining the Suitability of Criteria.....	59
Specific Considerations for Using Assertions and Testing Future-Oriented Information	59
Specific Considerations for Evaluating Misstatements in Future-Oriented Information	62
Reporting Considerations for Future-Oriented Information.....	62
Chapter 14: Preparing the Assurance Report	63
Introduction	63
The Complexities of EER Reporting	63
Communicating Effectively in the Assurance Report	64
Draft Guidance in Applying ISAE 3000 (Revised) to Extended External Reporting (EER) – Phase 2	1
Chapter 1: Introduction	3
 Background	3
 	4
 Terminology	4
Chapter 2: Overview of an EER Assurance Engagement.....	6
 Conduct of an Assurance Engagement in Accordance with ISAE 3000.....	Paragraphs 14-19
 	6
 Ethical Requirements	Paragraph 20
 	6
 Acceptance and Continuance	Paragraphs 21-30
 	6
 Quality Control	Paragraphs 31-36
 	7
 	7
 Planning and Performing the Engagement	Paragraphs 40-47
 	7
 Obtaining Evidence	Paragraphs 48-60
 	8

Subsequent Events	Paragraph 61
	8
Other Information	Paragraph 62
	8
Description of Applicable Criteria	Paragraph 63
	9
Forming the Assurance Conclusion	Paragraphs 64-66
	9
Preparing the Assurance Report	Paragraphs 67-71
	9
Unmodified and Modified Conclusions	Paragraphs 72-77
	9
Other Communication Responsibilities	Paragraph 78
	9
Documentation	Paragraphs 79-83
	9
Chapter 3: Agreeing the Scope and Determining Preconditions	11
Agreeing the Scope of an EER Engagement	11
Preconditions for Assurance	17
Chapter 4: Applying Appropriate Skills	23
Assignment of the Team (refer to paragraph 32 of the standard for requirements)	23
Competence and responsibilities of the engagement partner (refer to ISAE 3000 (Revised) paragraph 31 and 33 for requirements)	28
Chapter 5: Exercising Professional Skepticism and Professional Judgment	31
Introduction (refer to paragraphs 37 to 39 of the standard for requirements)	31
The importance of professional skepticism and professional judgment in an EER engagement	31
Acquiring and applying professional skepticism and professional judgment	32
Chapter 10: Obtaining Evidence	37
Introduction	37
1. Considerations when determining what evidence is needed and available may include the following:	39
2. Considerations when designing and performing procedures to obtain sufficient, appropriate evidence include:	40
3. Considerations when evaluating the sufficiency and appropriateness of evidence obtained include:	41

When determining what evidence is needed and available.....	43
Chapter 11: Obtaining Evidence for Narrative Information	47
Introduction	47
Narrative Information.....	47
Specific Considerations for Determining the Suitability of Criteria.....	48
Specific Considerations for Using Assertions and Testing Narrative Information	50
Specific Considerations for Evaluating Misstatements in Narrative Information	54
Other Information Alongside Narrative Information	56
Chapter 12: Assuring Future-Oriented Information	57
Introduction	57
Specific Considerations for Determining the Suitability of Criteria.....	58
Specific Considerations for Using Assertions and Testing Future-Oriented Information	58
Specific Considerations for Evaluating Misstatements in Future-Oriented Information	61
Reporting Considerations for Future-Oriented Information.....	61
Chapter 14: Preparing the Assurance Report	62
Introduction	62
The Complexities of EER Reporting	62
Communicating Effectively in the Assurance Report.....	63

Chapter 1: Introduction

Background

1. 'Extended external reporting' (EER) encapsulates many different ~~forms~~ types of reporting that focus on the financial and non-financial consequences of an entity's activities. Such reporting may focus on the consequences for the entity's own resources and relationships, or on the wider consequences for the well-being of the economy, environment or society, or both, or on the service performance of a public sector or not-for profit entity. EER reporting therefore goes beyond the information typically included in financial statements, which focus on the consequences of the entity's activities for its financial resources, as presented in statements of financial position and financial performance and related disclosures.
- 1.2. EER reporting may be incorporated in the mainstream periodic reports issued by a company or organization, such as an annual report or integrated report, or a regulatory filing, such as the US SEC Form 10-K or the UK strategic report. Alternatively, it may be included in a separate report or statement issued by an entity, such as a sustainability report, a corporate social responsibility statement, a public sector performance report or value for money report, or a greenhouse gas statement, including, but not limited to, integrated reporting, sustainability reporting and other reporting by entities about environmental, social and governance (ESG) matters. EER includes non-financial information and information that goes beyond that which is contained in traditional financial statements that focus on the entity's financial position, financial performance and impact on its financial resources.
- 2.3. EER reports may be required by law or regulation (such as the EU requirement for a large company to include a non-financial statement in its annual report), or alternatively may be produced by entities voluntarily. They may be prepared using frameworks, standards and guidance established by law or regulation, by international or national standard setters, or by other bodies (referred to in this document as "EER frameworks"). EER can be less structured in comparison to financial statement reporting. There may also be diversity in the criteria used to prepare the EER report given the wide selection of EER frameworks, and because entities often develop their own criteria either in addition to, or instead of, using EER frameworks.
- 3.4. EER tends to be more diverse than financial statement reporting, both in format and in the matters being reported on. The reporting can also be more qualitative; the information can comprise more description (narrative information) alongside financial and non-financial numbers. The processes and aspects of the internal control system related to the preparation of EER may often be less developed, particularly when an entity first starts to prepare EER.
- 4.5. The IAASB issued a discussion paper¹ in 2016 identifying ten areas where a practitioner may find guidance useful in applying ISAE 3000 (Revised) (sometimes alternatively referred to as "the standard" in this document) to assurance engagements over EER. In response to broad agreement with this assessment from respondents, the scope of this document is to provide guidance in these specific areas. See [Appendix 1](#) for further background information.

¹ Supporting Credibility and Trust in Emerging Forms of External Reporting: Ten Key Challenges for Assurance Engagements

- ① This non-authoritative guidance document is being developed in two phases and this document includes only initial draft guidance developed in the first phase, covering approximately half of the guidance to be developed. The IAASB is now seeking initial feedback from stakeholders on the draft guidance developed to date, to assist the IAASB in updating it and in completing the development of an exposure draft of the non-authoritative guidance document, in phase 2.

5.6. The guidance's intended audience is primarily practitioners carrying out EER assurance engagements, although it may also be useful for preparers of EER reports.

Purpose of this Guidance

6.7. The purpose of this guidance document is to provide practical assistance to a practitioner carrying out assurance engagements over EER in the form of guidance on the application of the standard. ISAE 3000 (Revised) deals with assurance engagements other than audits or reviews of financial statements as described in the *International Framework for Assurance Engagements*. It is intended to be applied to a wide range of matters being reported on. This guidance is designed to assist with engagements over EER reports of entities of all sizes and a broad range of EER matters being reported on. Although the guidance may be helpful in performing other types of assurance engagements, it has not been developed with such engagements in mind.

7.8. As it is non-authoritative, this guidance does not introduce any further requirements beyond those in ISAE 3000 (Revised). Similarly, none of the contents of this guidance remove or change any of the requirements or application material in ISAE 3000 (Revised).

8.9. ISAE 3000 (Revised) can be used in both direct and attestation engagements², however, like the standard, this guidance is written in the context of attestation engagements. It may be applied to direct engagements, adapted and supplemented as necessary in the engagement circumstances.

Terminology

9.10. Terminology in this guidance is consistent with ISAE 3000 (Revised), as defined in paragraph 12 of the standard. It is noted however that as EER is a developing area, different terms may be used around the world with broadly equivalent meaning.

10.11. The Appendix of ISAE 3000 (Revised) provides guidance on the roles and responsibilities of different parties in an assurance engagement, which include the responsible party, the measurer or evaluator, the engaging party and the practitioner. In many circumstances in an attestation engagement, the responsible party is also the measurer or evaluator. For simplicity, this guidance uses the term 'preparer' to mean a responsible party who is also the measurer or evaluator.

11.12. This guidance refers to 'subject matter elements' (or 'elements') and their 'qualities' in the context of an EER report. These terms are not defined or used in ISAE 3000 (Revised). However, the standard recognizes the underlying subject matter has 'aspects'. For the purposes of this document:

² Refer to ISAE 3000 (Revised) paragraph 12(a)(ii) for definitions of attestation and direct engagements.

- a) References to ‘subject matter elements’ or ‘elements’ are analogous to ‘assets’, ‘liabilities’, ‘income’ or ‘expenses’, which are aspects of the underlying subject matter (the entity’s financial condition and performance) to which criteria are applied in preparing financial statements.

The subject matter elements to which criteria are applied in preparing EER reports may comprise very diverse phenomena. They may include, for example, different natural resources, individual employees, individual customer relationships, or features of the entity’s strategy or of its governance, management, risk management and internal control infrastructure.

- b) References to ‘qualities’ of elements are analogous to the financial ‘value’ of elements of the financial statements, which is measured for different elements using measurement bases specified in the criteria.

The qualities of elements measured or evaluated using measurement or evaluation bases specified in the criteria for an EER report may be very diverse, depending on the nature of the elements. They might include, for example, when the underlying subject matter is water, the entity’s ‘intake volume’ or ‘discharge volume’ of water.

① Guidance on performance materiality is to be developed in phase 2.

[Under development]

Explanatory Memorandum

Draft Guidance

Contextual Information

Credibility and Trust Model

Chapter 3: Agreeing the Scope and Determining Preconditions

Agreeing the Scope of an EER Engagement

The meaning of 'EER Report'

13. An EER report is subject matter information that may cover a variety of underlying subject matters of the type discussed in paragraph 1. The EER report may represent different aspects of the underlying subject matter primarily in numerical or narrative form, in either case with related disclosures. Information in the EER report may be in the form of, or a combination of, writing, charts, graphs, diagrams, images or embedded videos. The information may be objective or subjective, historical or future-oriented, or a combination of these (see Chapter 1). The EER report may be a standalone report or incorporated in another mainstream report of the entity (see paragraph 1). Alternatively, the information comprising the EER report may be accessible by the user on demand, from various sources and in real time.
14. The scope of an assurance engagement can be an entire EER report or only part(s) of an EER report. The standard can be applied to a variety of engagements, provided that the preconditions in paragraph 24 of the standard are met. If considering a particularly narrow scope for the assurance engagement, for example covering only specific measures or indicators in isolation, rather than the entire EER report, careful consideration may be needed to determine whether the preconditions are present, including that the engagement has a rational purpose (see paragraph 71).

The meaning of 'scope' of assurance

15. The scope of an assurance engagement covers two dimensions:
- a) The breadth of the subject matter information for the engagement (the information in the EER report that is to be assured) and of the underlying subject matter and applicable criteria from which it has been prepared. The information in the EER report that is to be assured may be all, or less than all, of the information included in the EER report; and
 - b) The depth of the assurance to be obtained by the practitioner, which is linked to the level of assurance (limited or reasonable) for the engagement and influences the quantity and quality of evidence that is needed to support the practitioner's conclusion.
16. The breadth and depth of scope are proposed by the preparer, considered by the practitioner in determining whether the preconditions are present, and agreed between the preparer and the practitioner on acceptance of the engagement.

The breadth of scope

17. Where the subject matter information to be assured is less than all of the information included in the EER report, the engagement criteria and underlying subject matter will not be the same as the criteria and underlying subject matter that gave rise to all the information in the EER report. They will be narrower in scope. However, there still needs to be a coherent relationship between the engagement subject matter information, criteria, and underlying subject matter, such that applying the engagement criteria to the engagement underlying subject matter gives rise to the narrower scope of subject matter information to be assured. In this case, the preconditions are considered in the

context of the subject matter information, criteria and underlying subject matter for the proposed narrower scope of the assurance engagement.

18. Selecting only those parts of the information included in the EER report that are easier to assure or that present the entity in a favorable light (sometimes referred to as 'cherry-picking') would not be appropriate unless the selected subject matter information, criteria and underlying subject matter have an appropriately coherent relationship and the preconditions for acceptance of the proposed assurance engagement are present, including that the engagement has a rational purpose. The engagement may be more likely to have a rational purpose if the parts of the EER report within the scope of the assurance engagement are those that are most important in assisting decision-making by the intended users.

EXAMPLE

A large, multinational beverage company reports voluntarily its environmental, social and governance performance in its EER report. The report includes a number of key performance indicators for its operations worldwide, including greenhouse gas emissions, water intake, wastewater, waste recycled, waste to landfill, accident lost time, and community investment, amongst other subject matters.

The company has asked for assurance over all of these indicators, which are reported as aggregated information for all its operations, as they are of interest to users of the report, but would like to exclude from the scope of assurance the water intake and wastewater for its African operations as, due to the geographical spread and the fact that all the records are held at the local branches, it will be difficult and costly for the assurance practitioner to obtain the evidence needed. These operations are small compared with those in Europe and the US.

The criteria for the EER report identify for measurement the water intake and the wastewater in all geographic regions. This means that the water intake and wastewater for all of the company's operations need to be within scope, rather than only for a selection of its operations, but the preparer has asked that the assurance engagement criteria should identify for measurement only the water intake and waste water for other regions, but not for the African operations.

While the intended users may well be more interested in the large operations, there are three factors in this example that may give rise to concern regarding the African operations:

- Water is scarce in parts of Africa; it is likely the indicators related to water usage and wastewater may be of interest to users, particularly if the reported intake is higher than it should be or if the quality of effluent is putting local communities at risk.
- The indicators are reported as aggregate figures for all the operations, rather than by country, so the African operations are not separately identifiable in the EER report.
- The fact that other indicators for the African operations are included within the proposed scope of assurance, but water is being excluded raises a question. It is not acceptable to

apply the criteria to the underlying subject matter and then 'cherry-pick' a subset of the resulting information for assurance.

19. As discussed further in Chapter 7, criteria determine the content of the EER report and its basis of preparation. They are the benchmarks used to measure or evaluate the underlying subject matter. Criteria would not be suitable if they were to result in subject matter information or an assurance report that was misleading to the intended users. Suitable criteria are therefore required to be:
 - a) Relevant;
 - b) Complete;
 - c) Reliable
 - d) Neutral; and
 - e) Understandable.
20. Paragraph A45 of the standard explains what these characteristics of suitable criteria mean.
21. Suitable measurement or evaluation criteria often are not available in established reporting frameworks. Such frameworks are often less prescriptive about the scope of the underlying subject matter to be addressed in an EER report or how to measure or evaluate and disclose the underlying subject matter, as compared to financial reporting frameworks. They often require adherence to a set of high-level principles, but those principles may not adequately identify what needs to be measured or evaluated or how to measure or evaluate it, in order to meet those high-level principles.
22. Criteria need to be made available to the intended users of the EER report so that such users can understand the basis on which the report has been prepared and assurance obtained. As there are numerous ways in which high-level principles may be able to be adhered to, the intended user is unlikely to be able to assess whether their needs have been met or to be able to base decisions on the reported information, without access to the criteria. The user needs to be able to understand both what has been measured or evaluated, and how it has been measured or evaluated.
23. Where an EER framework does not specify what topics and related elements would assist the decision-making of the intended users of the report, but requires adherence to high-level principles, in selecting them, the criteria in the framework may not be considered to be suitable on their own as they may lack the characteristics required by the standard. In such a situation, preparers apply a process to make judgments about how the high-level principles of the framework are to be met within their own organization, and develop the criteria further so that the combined framework and entity-developed criteria result in subject matter information that assists the decision-making of the intended users. This is discussed in further detail in Chapter 8: *Considering the Entity's 'Materiality Process'*
24. Just as the practitioner is required to determine whether the criteria set out in a framework meet the preconditions for assurance, so the practitioner needs to determine whether the criteria developed by the preparer are suitable. To do this, the practitioner may need to understand not only the further

development of the criteria by the preparer for the information within the proposed scope of the assurance engagement, but also the process the preparer has undertaken to develop criteria for the preparation of any other part(s) of the information included in the EER report but not within the scope of the engagement (the 'wider process'). This would enable the practitioner to consider matters such as:

- a) Whether there may be omissions of relevant parts of the underlying subject matter from the subject matter information, and whether such omissions call into question the rational purpose of the engagement; and
- b) Whether and how the subject matter information is used in the preparer's own decision-making processes. If information relating to an entity's decisions is important to its stakeholders, then it is reasonable to expect that the entity would be using that information in its own decision-making. Similarly, if the company is using the information in its decision-making, then it may be reasonable to expect that a user may be interested in that information. If the information is not used for the preparer entity's own decision-making, that may raise a question as to why the information is being reported, and whether there may be bias in selecting as subject matter information only those parts of the EER report that are easily subject to an assurance engagement or that present the entity in a positive way.

25. The practitioner's determination of whether the preconditions are present, in making the acceptance decision, is based on a preliminary knowledge of the business, rather than on the more detailed work effort required to do so in accordance with paragraph 41 of the standard. The consideration of the 'wider process' (see paragraph 24) applied by the preparer may also be at a different level of detail than where the intended scope of the engagement is the entire EER report. In a narrower scope assurance engagement, the consideration of the wider process is to identify matters that have not been but should have been included within the narrower scope, rather than to focus on whether there are suitable criteria for the other information included in the EER report and so may be less detailed.

26. Entity-developed criteria need to be available to intended users in the same way that any other criteria need to be. Paragraphs A51-A52 set out ways in which the criteria may be made available. While there is not a general requirement to disclose the process for developing the criteria, there may be some frameworks that do require such disclosure, at least for parts of the process, for example the GRI framework requires the Stakeholder Engagement Process to be disclosed. Even where there is no such requirement in the framework, practitioners may consider it appropriate to encourage preparers to disclose details of their process for their entity-developed criteria ('materiality process')

Increasing breadth of scope over time

27. Entities producing EER reports typically implement gradual changes to their governance and controls to support their EER reporting as it becomes more established and formal. Where an entity's governance and controls over EER are in the process of developing, the preparer may not have a reasonable basis for reporting on all aspects of the underlying subject matters or for all the information included in the EER report. Nevertheless, the preparer may wish to obtain assurance on those areas for which the preconditions could be met and to disclose in the EER report that they are working on developing the governance, processes and systems to extend the scope of assurance in other areas in due course. Consideration of the reasons for the preparer wishing to include only

certain part(s) of the information included in the EER report within the scope of assurance is needed to determine whether the reasons for the narrower scope to be assured are inappropriate or the proposed engagement lacks a rational purpose.

28. Where the entity's governance and controls over EER are in the process of developing, it may be expected that more part(s) of the information included in the EER report would fall within an evolving scope of the subject matter information for successive EER assurance engagements as the entity's EER governance, reporting processes and systems evolve. Where the entity has given as its reasons for a narrow scope engagement that it is in the process of developing its governance and controls over EER, but it does not make any attempt to include further information in the EER report within the scope of the assurance engagement in later periods, that may (unless user information needs have changed) call into question the entity's reasons for reporting the subject matter information and whether the assurance engagement has a rational purpose.

Where the breadth of scope is a rolling program of assurance

29. The entity may wish to establish a program of systematically varying the breadth of scope year on year, which may involve including all or most aspects of the subject matter information in the scope over a repeating cycle ('rolling program'), for example, due to cost considerations.
30. An assurance engagement, on a rolling basis, over selected parts of the EER report that vary from period to period is different from the performance of assurance procedures on a selective, rotational basis on subject matter information that is subject to assurance each period. The former relates to determining the scope of the assurance engagement and assessing the preconditions for assurance, and is discussed further below. The latter is about obtaining evidence about the subject matter information after the acceptance decision has been made [consideration being given to developing an example to distinguish the two].
31. Where the preparer wishes to obtain assurance, with the scope determined on a rolling basis, the practitioner needs to understand the reasons for the preparer proposing a rolling program of assurance, and whether those reasons are appropriate when considered with the intended users in mind.
32. Where such a program is considered to result in successive assurance engagements that each has a rational purpose, the criteria for presentation and disclosure may be particularly important to allow the intended users to understand the approach the preparer has taken and the boundaries of the information in the EER report that has been assured.
33. Where an evolving or rolling program of assurance engagements is adopted by a preparer and accepted by a practitioner, users may expect it to be followed consistently as designed. However, the nature, extent and timing of the consideration the practitioner gives to the 'other information' may change from period to period as, effectively, the information included in the EER report related to those aspects not within the scope of assurance in a particular period become 'other information'. The practitioner also needs to be alert to changed engagement circumstances that may mean a rolling scope of assurance would no longer be appropriate.

EXAMPLE

A company with operations in different geographical locations wishes to obtain assurance on a rolling basis by geography relating to its rolling community investment program, which allocates funds to social improvement projects in different parts of the world. The programs are usually to do with the provision of health and primary education infrastructure and training. Once the infrastructure is in place, and local communities have been provided with training to be able to run the programs, the company focuses on setting up a program in a different geographical location. Typically, the set-up phase of projects is between two and three years. After set-up, the company continues to provide an ongoing level of funding, for which the local communities account to the company's head office on an annual basis. The set up costs and ongoing funding for each project are separately disclosed in the company's reporting.

The users of the company's EER report are primarily interested in the projects in the set-up phase, to understand whether the funding allocated has resulted in established projects that are capable of being run by the communities. For each new project launched, the company therefore includes the reported information within the scope of assurance each year until the end of the set-up phase. Thereafter, although the information relating to each project is reported separately in its annual EER report, it is assured only once in a three-year cycle in order to save costs.

In determining whether the preconditions are present, the practitioner considers who the intended users are, their reporting needs and whether the engagement has a rational purpose. In this example, there may be a rational purpose to the proposed rolling basis.

EXAMPLE

A multinational beverage company has high water usage. Its production process produces wastewater that is potentially harmful to sensitive ecosystems, but is closely monitored to make sure that the levels do not exceed those considered to be safe by the environment agencies in each location.

In this example, including water usage and wastewater for assurance on a rolling basis may not have a rational purpose as such an assurance engagement may not meet the intended users' needs. Users are likely to be interested in what the company is doing on an ongoing basis to reduce its water consumption, particularly in water scarce areas, and their decisions may well be influenced by even small levels of harmful effluent that exceed those considered to be safe. Breaching those levels may result in significant penalties or fines to the company. It is unlikely that a rolling basis of assurance would reflect a rational purpose in this situation.

PS

PJ

Explanatory Memorandum

Draft Guidance

Contextual Information

PS

PJ

Credibility and Trust Model

The depth of scope

34. The second dimension of scope is the depth of the assurance to be obtained. This is influenced by the agreed level of assurance (limited or reasonable), and is related to the nature, timing and extent of procedures the practitioner performs as part of their evidence-gathering procedures.
35. What is an acceptably low level of engagement risk may vary according to the circumstances of the engagement including the information needs of the intended users as a group, the criteria, and the underlying subject matter. Determining the nature, timing and extent of procedures to be performed in the context of the level of assurance to be obtained may require considerable skill in the exercise of professional judgment and professional skepticism, and is discussed further in Chapter 11 *Assuring Narrative Information* and Chapter 12 *Assuring Future-Oriented Information*. However, the decision as to what is likely to be meaningful in terms of the appropriate level of assurance is considered when considering whether the preconditions are present.

Other information

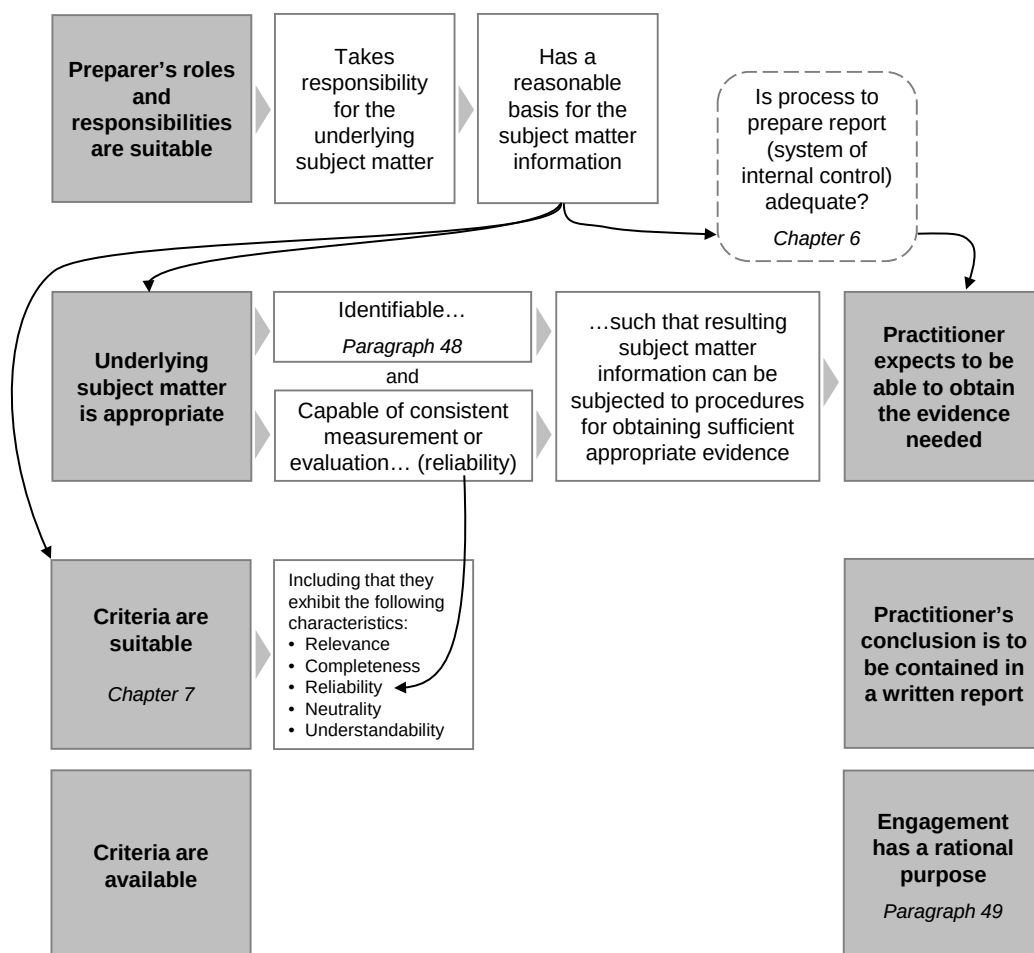
36. Anything in an EER report not within the scope of the assurance engagement is classed as 'other information'. Regardless of the engagement's scope, the practitioner is required by paragraph 62 of the standard to read all 'other information' in the EER report to identify material inconsistencies between the subject matter information and the other information that is not in that scope. If a material inconsistency or a material misstatement of fact in the 'other information' is identified, the practitioner is required to discuss this with the preparer and take further action as appropriate.
37. Whether the scope of the assurance engagement is a whole EER report, or part of an EER report, that includes both narrative and quantitative representations and related disclosures the narrative information is as much part of the subject matter information as the quantitative subject matter information, and does not automatically constitute 'other information' (however, circumstances where narrative information could be considered to be 'other information' are discussed in paragraph [162]). The practitioner therefore needs to apply the same degree of rigor when obtaining evidence related to the narrative subject matter information as would be applied to any quantitative subject matter information. Each representation and its related disclosures are considered together from the perspective of suitable criteria and work effort.

Preconditions for Assurance

- ~~12.38.~~ The practitioner is permitted to accept or continue an assurance engagement only when, amongst other matters, the basis on which the engagement is to be performed has been agreed. In part, this is established through identifying that the preconditions for an engagement are present, based on a preliminary knowledge of the engagement circumstances and discussion with the preparer.
- ~~13.39.~~ For a recurring engagement, the same preconditions are required, however the continuance process may be more straightforward as the practitioner will already have good knowledge of the entity and the engagement circumstances with which to determine if the preconditions are present.

14.40. The same preconditions need to be present for all assurance engagements, whether limited or reasonable assurance is being obtained. For example, in order for the criteria to be suitable in a limited assurance engagement, the practitioner must be able to determine that they would be suitable in a reasonable assurance engagement.

15.41. The preconditions are set out in paragraph 24 of the standard, which are summarized in the seven grey shaded boxes:



16.— The preconditions are set out in paragraph 24 of the standard, and all the preconditions are required to be met. For example, although it can be challenging to assess whether the criteria are complete, the practitioner is required to do so. Although the presence of completeness in the criteria may be less readily determinable than the presence of other characteristics of suitable criteria, the practitioner will need a sufficient preliminary knowledge of the engagement circumstances to be able to make a reasoned judgment about whether the criteria have the characteristic of completeness.

42. The preliminary knowledge that the practitioner has when assessing the preconditions may be obtained through previous experience of the engagement, knowledge of the entity's business and industry, general business acumen, discussion with the preparer, or possibly bringing forward some of the work that ordinarily is performed during the initial stages of planning the engagement, or

through a combination of these. It is a matter of professional judgment as to how extensive the practitioner's preliminary knowledge needs to be in order to make a reasoned judgement about each of the characteristics of suitable criteria. It will depend on factors such as how complex the engagement is, whether the criteria are established by the reporting framework used or whether they have been further developed by the preparer (see chapter 8), and on the experience of the practitioner. A practitioner with previous experience of the subject matter and of the framework and criteria being applied may be expected to make judgments more readily than a practitioner without such experience.

17.43. The following considerations for the practitioner include questions (based on the preconditions for an assurance engagement) that are designed to illustrate how the practitioner may make some of the judgments involved in the acceptance or continuance decision.

CONSIDERATIONS FOR THE PRACTITIONER

- a) Are the roles and responsibilities of the appropriate parties suitable, and has the preparer appropriately fulfilled its responsibility to have a reasonable basis for the subject matter information?
 - i) Is the underlying subject matter appropriate (see (b) below)?
 - ii) Are the criteria suitable (see (c) below)?
 - iii) Is the preparer's process to prepare the information adequate and appropriately supported by related aspects of the entity's system of internal control (see guidance in Chapter 6)?
- b) Is the underlying subject matter appropriate?
 - i) Is it identifiable (see paragraph 48); and
 - ii) Is it capable of consistent measurement or evaluation against the applicable criteria;

such that the resulting subject matter information can be subjected to procedures for obtaining sufficient appropriate evidence?
- c) Are the criteria you (as the practitioner) expect to be applied by the preparer suitable for the engagement circumstances (see guidance in Chapter 7)?
 - i) Does the preparer have an appropriate process in place for developing and reviewing the criteria?
- d) Will the criteria that you (as the practitioner) expect to be applied by the preparer be available to the intended users?
- e) Do you (as the practitioner) expect to be able to obtain the evidence needed to support your assurance conclusion?
- f) Is your practitioner's conclusion going to be contained in a written report?
- g) Does the engagement have a rational purpose (see paragraph 49)?

The full preconditions for an assurance engagement are set out in paragraph 24 of the standard.

Explanatory Memorandum

Draft Guidance

Contextual Information

Credibility and Trust Model

Underlying subject matter is identifiable

18.44. Identifiable underlying subject matter means that the subject matter elements are well-defined and distinct from other things.

EXAMPLE

The greenhouse gas emissions of an entity might be identifiable underlying subject matter because there are widely accepted definitions of greenhouse gas emissions (such that they are distinct from other things, for example other emissions to air). Additionally, methods exist to measure or estimate those greenhouse gas emissions that are attributable to the entity's activities.

However, the impact of the entity's activities on global temperature change more broadly might not be identifiable underlying subject matter. This is because it is difficult to attribute global temperature changes to greenhouse gas emissions of specific entities and to separate the impact of greenhouse gas emissions from other factors causing such temperature changes (for example deforestation).

Explanatory Memorandum

The engagement has a rational purpose

19.45. The purpose of an assurance engagement is established in the definition of an assurance engagement in paragraph 12(a) of the standard. The meaning of the term 'rational' is not explicitly addressed in the standard. However, an assurance engagement may be considered to have a rational purpose if the practitioner's conclusion is designed "to enhance the degree of confidence of the intended users ... about the subject matter information". It may be expected that it is designed to do this in a way that is logical, coherent and appropriate in the engagement circumstances. In this context, the application material in paragraph A56 of the standard sets out certain considerations that may be relevant in determining whether the purpose of a proposed assurance engagement is rational.

Draft Guidance

CONSIDERATIONS FOR THE PRACTITIONER

In determining whether a proposed EER assurance engagement has a rational purpose, it may be appropriate for the practitioner to consider matters such as:

- Who the intended users are, including taking into account whether the applicable criteria were designed for a general or special purpose and whether the EER report or the assurance report will be used or distributed more broadly than to the identified intended users.
- Assuming the subject matter information is expected to address the significant information needs of the intended users, whether any aspects of the subject matter information are expected to be excluded from the assurance engagement and the reason for their exclusion.
- Who selected the criteria, including whether and the extent to which the intended users or other parties were involved in selecting or designing the criteria and the degree of judgment and scope for bias where parties other than the intended users were involved in doing so.

Contextual Information

Credibility and Trust Model

- Whether the level of assurance that the practitioner plans to obtain (and therefore what would constitute sufficient appropriate evidence) is expected to reduce engagement risk to a level which is at least meaningful in the circumstances of the engagement, having regard to the extent of the consequence to the intended users of an inappropriate conclusion by the practitioner.
- Where the engagement is a limited assurance engagement, whether the level of assurance the practitioner plans to obtain is sufficient to be meaningful to the intended users – in some circumstances, the intended users' need for assurance may even be so great that a reasonable assurance engagement is needed to obtain a meaningful level of assurance.
- Whether the scope of the practitioner's work is expected to be limited significantly, such that the practitioner's conclusion may not sufficiently enhance the degree of confidence of the intended users in the EER report.
- Whether, when the engaging party, responsible party and the measurer or evaluator are not all the same party, the characteristics of the relationships between these parties could undermine the purpose of the engagement.
- Whether the practitioner believes that the preparer intends to associate the practitioner's name with the underlying subject matter or the EER report in an inappropriate manner.

Work effort in determining the presence of preconditions

46. The practitioner establishes whether the preconditions for an assurance engagement are present based on a preliminary knowledge of the engagement circumstances and discussion with the appropriate party(ies). However, engagement circumstances include, amongst other matters, the characteristics of the subject matter, the criteria to be used, the needs of the intended users, relevant characteristics of the responsible party and its environment, and other matters such as transactions, conditions and practices, that may have a significant effect on the engagement. Accordingly, the extent of preliminary knowledge needed to arrive at a reasoned judgement about the preconditions will depend on these numerous factors. The greater the complexity of the subject matter or the more subject it is to management bias, the greater may be the need for the practitioner to understand the systems, processes and controls in place that provide a reasonable basis for the subject matter information before being able to determine whether the preconditions are present. By contrast, on an uncomplex engagement, discussion with the preparer may be appropriate.
47. In a complex engagement, the practitioner may wish to consider bringing forward some of the procedures that ordinarily would be performed as part of planning, for example, performing a walk through to understand the processes for recording the information, or may choose to carry out a

'readiness assessment' (see paragraph 76). On small, less complex engagements, a discussion with the preparer to obtain sufficient preliminary knowledge may be appropriate. Either way, in order to be able to exercise the professional skepticism and professional judgment required by the standard, the practitioner needs to have sufficient understanding of the entity's business, its operating environment, who the intended users of the EER report are and what would affect their decision-making, as well as sufficient knowledge of the underlying subject matter and, where relevant, its connectedness with other subject matters the entity reports on.

Assurance Readiness Engagements and "Maturity Assessments"

20.48. In some circumstances, for example in larger or more complex engagements, the practitioner may choose to determine whether the preconditions are present as part of an 'assurance readiness' process before committing to an assurance engagement. This may be a separate (non-assurance) engagement that would not be performed under ISAE 3000 (Revised). If it is found by the practitioner that the preconditions for assurance are present, the entity can then choose to proceed with requesting an assurance engagement.

21.49. As well as assisting the practitioner in managing a preparer's expectations, this approach may also be beneficial to the entity because the practitioner may communicate findings, conclusions and recommendations about the entity's readiness for an assurance engagement to those charged with governance or management, as appropriate. Such communications may encourage those charged with governance or management, as appropriate, to take steps to improve the process to prepare EER reports.

22.50. There are many other types of assurance readiness engagements and "maturity assessments" that a practitioner may undertake that would not be performed under ISAE 3000 (Revised). For example, a practitioner may undertake a 'maturity assessment' to evaluate the maturity of the entity's system of internal control related to the process to prepare the EER report, or other matters. This may include considering the design and implementation or effectiveness of the system as a whole, or aspects of it, such as the relevance of performance measures the entity is developing and considering whether they are sufficiently well-established to provide intended users with the appropriate information they need to assist their decision-making.

51. Although these engagements and assessments can also provide insights that may assist the entity in further developing its EER processes, there may be a self-review threat to the practitioner's independence if, for example, the practitioner is advising on the further development of the entity's EER processes and then plans to undertake a subsequent EER assurance engagement or where the practitioner is providing an audit or other assurance engagement. For example, a self-review threat would arise if the practitioner were to assist the entity in designing its EER reporting systems, or in setting the criteria, and then need to obtain assurance about the suitability of those criteria; or about the effectiveness of design of the reporting systems, as part of a separate assurance engagement. However, making recommendations or observations about issues that management may need to consider or possible actions they may need to consider further and select or develop further may not give rise to a self-review threat. The key is that management must have sufficient capability to make, and do make, the decisions themselves.

Chapter 4: Applying Appropriate Skills

Introduction

23-52. To accept or continue an assurance engagement the engagement partner is required to be satisfied that engagement team collectively have the appropriate competence and capabilities to:

- a) Perform the engagement in accordance with the relevant standards and applicable legal and regulatory requirements; and
- b) Enable an assurance report that is appropriate in the circumstances to be issued³.

24-53. The focus is on the ability to meet the requirements of the assurance standard/s, and to issue an appropriate assurance report that will enhance the degree of confidence of the intended users in the subject matter information. The competence needed to perform an assurance engagement includes both assurance competence and sufficient competence in the underlying subject matter of the engagement and in its measurement or evaluation.

25-54. As discussed in Chapter 1, EER may be diverse, both in format and in the matters being reported on. The reporting can also be qualitative, comprising narrative description alongside financial and non-financial numbers. The frameworks and criteria used to measure or evaluate the subject matter/s may be in the early stages of development, and the governance, processes and internal control systems related to the preparation of EER may often be less developed than in a financial reporting context, particularly when an entity first starts to prepare its EER reporting. All of these factors may increase the need for a high level of assurance competence as well as extensive subject matter expertise, for example, scientific or engineering skills, to be able to perform the engagement, depending on the particular engagement circumstances.

Assignment of the Team (*refer to paragraph 32 of the standard for requirements*)

26-55. In a financial statement audit engagement, the audit partner and engagement team have core competence in both auditing skills and techniques (assurance competence) and in financial accounting (subject matter competence). However, in an EER engagement, while the assurance practitioner may have some subject matter expertise, the subject matter competence that may be needed on a complex engagement may go beyond that ordinarily possessed by most assurance practitioners.

27-56. To be able to perform the assurance work over specialized subject matters or subject matter areas, the practitioner may need to use the work of a practitioner's expert. Such an expert has specialized skills and knowledge that enable an informed and knowledgeable view on the subject matter, but they may not have the extensive competence in assurance skills and techniques that are needed to perform an assurance engagement in accordance with the standard or to be able to make the judgments in relation to contentious or difficult assurance matters. While a practitioner's expert is not required to have assurance competence, they may need sufficient understanding of the standard to enable them to relate the work assigned to them to the objectives of the engagement.

28-57. Assurance skills and techniques include those planning, evidence gathering, evidence evaluation, communication and reporting skills and techniques demonstrated by an assurance practitioner that

³ ISAE 3000 (Revised) paragraph 32(a)

are distinct from expertise in the underlying subject matter of any particular assurance engagement or its measurement or evaluation; they include the application of professional skepticism and professional judgment, obtaining and evaluating evidence, understanding information systems and the role and limitations of internal control, and linking the consideration of materiality and engagement risks to the nature, timing and extent of procedures in an iterative systematic engagement process. Accordingly, they involve far more than the application of subject matter expertise.

~~29-58~~. On broader or more complex EER engagements the practitioner may judge it necessary for the work to be performed by a multi-disciplinary team that includes both appropriate assurance competence and one or more practitioner's experts. The assurance practitioners, other than the engagement partner, who perform the engagement, may have a combination of different levels of assurance competence and different levels of subject matter competence. However, all assurance practitioners are likely to need some level of competence in both to be able to understand and apply the perspectives of a wider range of users and to be able to exercise the professional skepticism and professional judgment needed during planning and performing an assurance engagement.

~~30-59~~. Both assurance practitioners and subject matter experts may, additionally, have specialized competence in a particular area, for example, an assurance practitioner may be a specialist in assuring IT systems and controls, in assuring sustainability information, or in assurance sampling techniques and methodologies; a subject matter expert, such as a biochemist, may be a specialist in environmental waste measurement and management, or a lawyer may be a specialist in environmental or human rights legislation (i.e. a specialized branch of law).

~~31-60~~. The extent to which the work of experts and/or specialists is used, and how it is used, are a matter of judgment for the practitioner, taking account of factors such as:

- a) The nature and complexity of the underlying subject matter and its measurement or evaluation;
- b) The extent to which the underlying subject matter lends itself to precise measurement or whether there is a high degree of measurement uncertainty that may need significant knowledge and judgment in relation to the subject matter;
- c) The engagement partner's and engagement team's competence and previous experience in relation to the subject matter; and
- d) The level of assurance to be provided.

~~32-61~~. In a more complex engagement, the practitioner may find it helpful to draw up a skills matrix setting out the assurance and subject matter competencies needed to perform the engagement and those of key engagement team members and other individuals whose work is to be used in performing the engagement. A matrix could also help identify where subject matter competence in a specialized area may be needed by the practitioner and whether that competence is available to the practitioner from within their own firm or network (practitioner's internal expert) or may need to be obtained from outside the firm or network (external expert).

~~33-62~~. The more complex the engagement, the more necessary it may be to consider how the work of the assurance practitioners and the work of the practitioner's expert/s is to be integrated into a cohesive whole. Competence is not only about whether appropriate individual engagement team member competence is brought to bear on the engagement, but also how the various competencies (whether assurance competence or subject matter expertise) work together as an interdependent team to

apply their combined knowledge, expertise and judgment (collective competence) to planning the assurance procedures and obtaining evidence, communicating findings on a timely basis, and evaluating the results. It is likely that individuals working together as a team, building a relationship, with a common focus on the purpose of the engagement and the needs of the intended users will be more effective than individual, isolated efforts on separate areas of the engagement that need different types of expertise.

34-63. The following examples illustrate some of the considerations relating to the collective competence of the engagement team that may apply in a complex engagement and a less complex engagement, respectively.

A company producing pulp and paper reports annually on its ESG activities and impact.

It produces both bleached and unbleached pulp in a continuous production process that uses various energy sources. The company has water meters installed on site that are checked and calibrated annually by the utility company. Wastewater is discharged into sewers.

The company has recently expanded its production facilities and water treatment plant and has installed a reverse osmosis (RO) membrane to deal with increased demand. The preparer has explained that, in order to handle the increased sewer flow in the short term, the entity is pumping part of the wastewater into the sewers directly, by-passing the treatment system. The treatment system includes a mass flowmeter. The flows recorded by the flowmeter are reported to the local authority, which uses the information to calculate sewer charges.

The company's sustainability report is prepared on a voluntary basis, other than the information on biochemical oxygen demand (BOD), which is required by regulation to be reported and independently assured (reasonable assurance). The environment agency uses the information to reassess the company's permit to operate. In the past, the company has been in compliance with its permit conditions, but new legislation, which became effective in the current year, required a reduction in BOD levels. The company uses its own scientists to carry out the BOD testing and calculations.

The engagement partner has been the financial statement audit partner of the company for a number of years and has good industry knowledge and experience. This will be the first year of leading this EER engagement.

The company has requested assurance over the subject matter information set out in the table below.

Subject matter information	Level of assurance requested
Scope 1 GHG emissions (tonnes of CO ₂ e)	Limited
Scope 2 GHG emissions (tonnes of CO ₂ e)	Limited
Water abstracted (m ³)	Limited
Wastewater (m ³)	Limited
Average biochemical oxygen demand (BOD) (mg/L)	Reasonable

In this example, the practitioner has assurance competence and a good knowledge of the company and its industry but does not have previous experience with the EER engagement, so is likely to want to include sufficient specialist sustainability assurance competence on the

	engagement team. This specialist sustainability assurance competence may be sufficient to perform the assurance procedures over the GHG emissions without the need for additional subject matter expertise. Water usage is metered and billed by the local authority, so it is likely to be relatively straightforward for the assurance practitioners to obtain the evidence for this KPI. In relation to the wastewater and BOD KPIs, the company has installed the new RO system during the year (new processes and controls), the wastewater and BOD KPIs are subject to scrutiny by the local authority and environment agency (users who may have low tolerance for misstatement of the information), the BOD test is subject to a number of variations and potential interferences, and the testing methods and calculation are complex (complex subject matter, subject to uncertainties), so the engagement partner considers that a subject matter expert will be needed. The company has used a management's expert to carry out the BOD tests, and it may be possible for the practitioner to use the work of that expert, but before doing so, the practitioner will need to evaluate the independence, competence and capabilities of that expert. As the company's own scientists carry out the BOD testing and calculations (lack of independence and the possibility of bias), the practitioner may judge it necessary to engage a practitioner's expert to look at the work of the management's expert and the assumptions and methods used by that expert. As required by the standard the practitioner is also required to evaluate the practitioner's expert's competence, capabilities and objectivity for the practitioner's purposes, obtain sufficient understanding of the field of expertise of the practitioner's expert, agree on the nature, scope and objectives of that expert's work, and evaluate the adequacy of that work for the practitioner's purposes. Paragraphs A120 to A134 of the standard set out application guidance in relation to these requirements. All identified misstatements are to be accumulated and discussed with the rest of the team to enable them to consider whether there may be implications for other areas of the engagement.
EXAMPLE	A professional services firm voluntarily reports, and requests assurance over: • its GHG emissions from purchased electricity for a single office; • metered water usage for its office; and • the number of employees by gender and by grade. In this example, an assurance engagement partner and team of practitioners with competence and experience in sustainability assurance engagements are likely to be able to perform the engagement to meet the requirements of the standard without the need to engage further subject matter expertise.

PJ

PJ

PJ

PJ

Explanatory Memorandum

Draft Guidance

Contextual Information

Credibility and Trust Model

Competence and responsibilities of the engagement partner (refer to ISAE 3000 (Revised) paragraph 31 and 33 for requirements)

36.65. The standard requires that, in addition to assessing the collective competence of the team, the engagement partner is to have competence in assurance skills and techniques developed through extensive training and practical application as well as sufficient subject matter competence to accept responsibility for the assurance conclusion.

37.66. An assurance practitioner may use the work of a practitioner's expert if, having followed relevant requirements of the standard, they conclude that the work of that expert is adequate for the practitioner's purposes. However, the engagement partner has sole responsibility for the engagement. That responsibility is not reduced by the work of the practitioner's expert. The engagement partner needs to have sufficient understanding of, and competence in, the subject matter, in addition to having a high level of assurance competence, to be able to:

- a) ask appropriate questions of the expert and assess whether the answers make sense in the context of the engagement and as viewed from a user perspective;
- b) assess the expert's work and integrate it with the work of the engagement team as a whole; and
- c) take responsibility for the conclusions reached.

38.67. The engagement partner is also responsible for the overall quality of the engagement, including for:

- a) appropriate direction, supervision and the review of the work of less experienced team members by more experienced team members;
- b) maintenance of engagement documentation that provides evidence that the engagement was performed in accordance with relevant ISAEs and legal and regulatory requirements (see chapter 10 for guidance on documentation); and
- c) for appropriate consultation by the engagement team on difficult and contentious matters.

Direction, supervision and review

39.68. The engagement partner considers the composition of the engagement team throughout the engagement and takes account of their assurance and subject matter competence when making decisions about the direction, supervision and review of their work. The lower the level of assurance competence of a team member is, the higher will be the need for direction, supervision and review of their work. Similarly, the lower the extent of their subject matter competence when they are performing assurance procedures, the lower may be their skills in exercising professional skepticism and professional judgment in relation to the evidence gathered, including the evidence obtained from using the work of an expert.

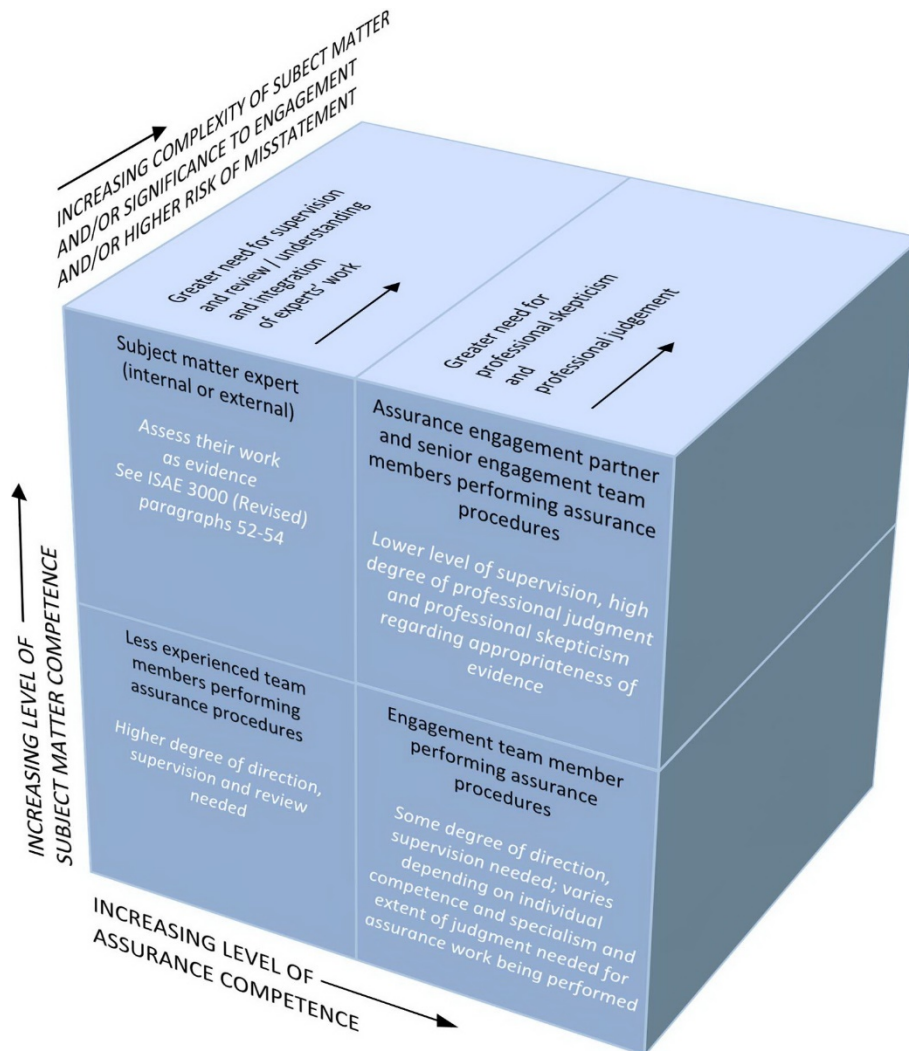
40.69. The extent and nature of direction, supervision and review needed are a matter of judgment, taking account of factors such as:

- a) The assurance and subject matter competence of the individual team member;

- b) The significance of the work performed by the individual in the context of the engagement as a whole;
- c) The risks of material misstatement in the matter to which the work of the assurance practitioner or practitioner's expert relates;
- d) Whether the practitioner's expert is internal or external to the practitioner's firm; and
- e) Whether or not the firm has a well-developed methodology for practitioners to follow when performing a particular type of EER engagement.

41-70. The diagram below illustrates the levels of assurance skills that may be available in the engagement team and the level of both the subject matter competence and the direction, supervision and review that may be appropriate in the engagement circumstances. For example, where there is greater subject matter complexity, or the work of the individual is more significant to the engagement as a whole, greater direction, supervision, review and integration of that work is likely to be needed than

Engagement partner and engagement team competence



if the subject matter is less complex or the work of the individual relates to a less significant part of the engagement.

Other Quality Control Considerations

42.71. The premise on which the standard is based includes that the engagement's assurance practitioners are members of a firm that is subject to quality control requirements at least as demanding as ISQC-1. Those requirements include that the firm establishes and maintains a system of quality control that includes documented policies and procedures addressing the matters set out in paragraph A61 of the standard and that are communicated to the firm's personnel.

43.72. Assurance practitioners are often professional accountants, but the standard acknowledges that a competent practitioner other than a professional accountant may choose to represent compliance with the standard. Representing compliance includes representing that they comply with the requirements of the standard that address their own competence and the competence of others who are to perform the engagement, and that they are able to evidence that they are a member of a firm that is subject to quality control requirements at least as demanding as ISQC 1.

44.73. Where the entity has a subsidiary, division, branch or operational site at a remote location or in a different jurisdiction, the practitioner may use the work of another practitioner to perform assurance procedures at that component. However, the engagement partner remains responsible for the overall assurance conclusion and for the quality control of the engagement. The standard contains a number of requirements with respect to using the work of another practitioner in a multi-team or multi-location engagement.

45.74. If the other practitioner is a member of the same network of firms, and that network is subject to common systems and processes to comply with ISQC 1, then a lower degree of direction, oversight and review may be necessary than when the component's subject matter information is subject to assurance by a practitioner outside of the practitioner's own network, or by a practitioner who is not a member of a firm that applies ISQC 1.

Chapter 5: Exercising Professional Skepticism and Professional Judgment

Introduction (refer to paragraphs 37 to 39 of the standard for requirements)

46-75. The standard requires the engagement to be planned and performed with professional skepticism, recognizing that circumstances may exist that cause the subject matter information to be materially misstated. It also requires the exercise of professional judgment in planning and performing the assurance engagement, and the application of assurance skills and techniques (which include the exercise of professional skepticism and professional judgment) as part of an iterative, systematic engagement process.

47-76. Sufficient knowledge of the circumstances of the engagement, as well as assurance competence and understanding of relevant standards, laws and regulations, are important to being able to exercise professional skepticism and professional judgment in making the informed decisions that are required throughout an EER engagement. Paragraphs A76 to A85 of the standard set out why maintaining an attitude of professional skepticism and applying professional judgment are necessary, and in which circumstances they may be particularly important.

THE MEANING OF 'ENGAGEMENT CIRCUMSTANCES'

Engagement circumstances include the terms of the engagement, including whether it is a reasonable assurance engagement or a limited assurance engagement, the characteristics of the subject matter, the criteria to be used, the needs of the intended users, relevant characteristics of the responsible party and its environment, and other matters, for example events, transactions, conditions and practices, that may have a significant effect on the engagement.

The importance of professional skepticism and professional judgment in an EER engagement

48-77. In an EER engagement, the need for sound professional judgment and the exercise of professional skepticism may be heightened. EER engagements can be complex, with underlying subject matters that may be subject to greater subjectivity, management bias, estimation and evaluation uncertainties than when applying financial reporting frameworks (see Chapter 1).

49-78. These and other factors, may make it challenging to:

- a) Understand the needs of intended users;
- b) Understand the interrelationships of different aspects of the subject matter information;
- c) Determine whether assumptions and methods used by the preparer are appropriate;
- d) Recognize unusual circumstances or omissions of information when they occur
- e) Evaluate the sufficiency and appropriateness of evidence obtained; and
- f) Determine the appropriate course of action in light of the facts and circumstances of the particular engagement.

50-79. Other factors such as:

- a) the preparer's lack of familiarity with the reporting frameworks;
- b) the lack of maturity of frameworks, governance and controls; and
- c) the possibility that the underlying subject matter may not be central to the entity's strategy or management priorities

may also increase the need for the practitioner to exercise professional skepticism and professional judgment.

-Acquiring and applying professional skepticism and professional judgment

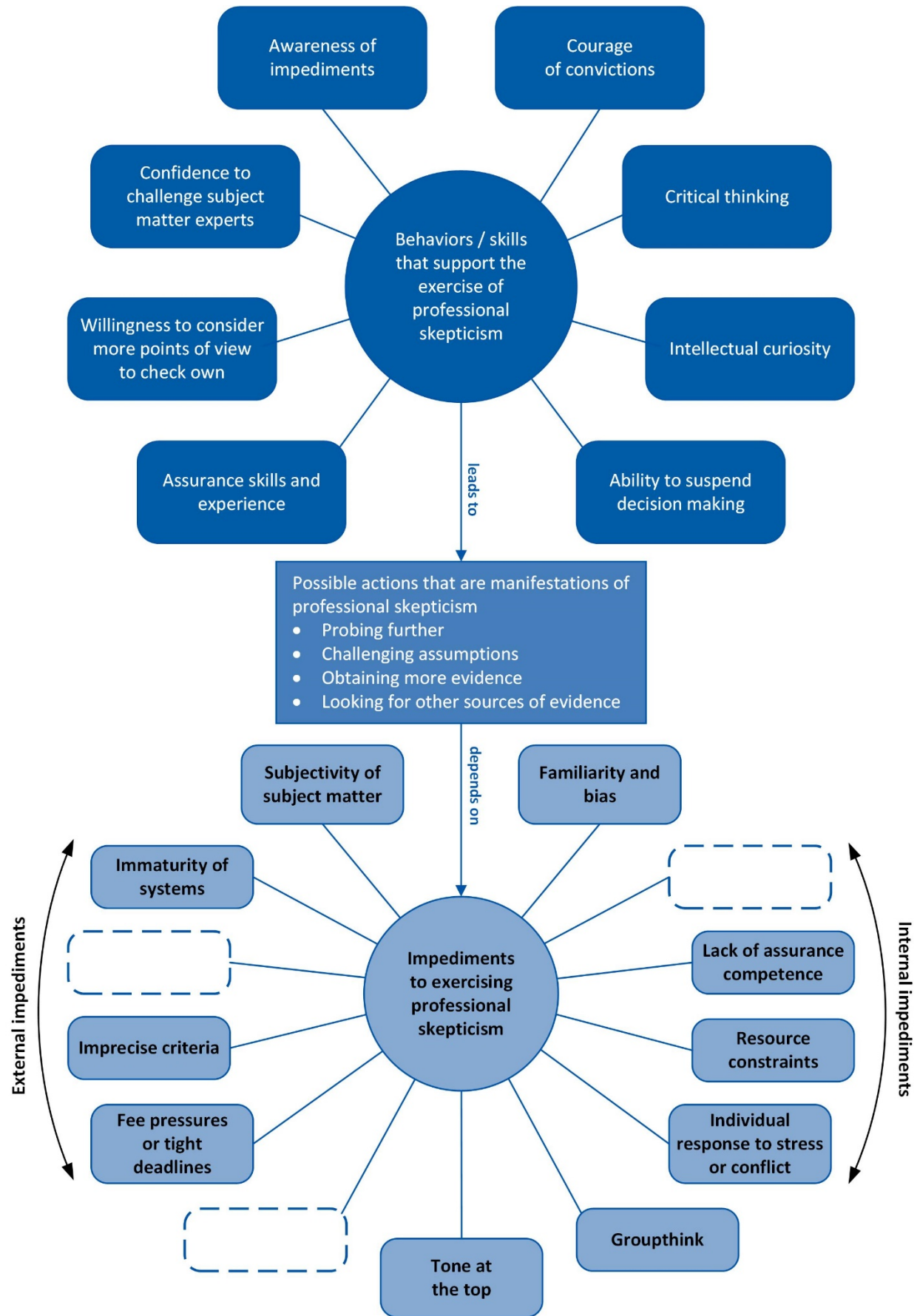
Professional skepticism

51-80. Professional skepticism is founded on an attitude of mind that, is neither unduly cynical nor accepting of representations or answers to inquiries at face value, even if they sound plausible. In an assurance engagement, it is manifested in the actions the practitioner takes in understanding and evaluating matters based on the evidence. These actions are primarily about asking the right questions and making a judgment, based on the evidence obtained, as to when it may be necessary to probe further and when it is appropriate to move on.

52-81. The importance of professional skepticism to the interests of intended users is underscored by the increasing complexity of business and of EER reporting, rapid changes needed by businesses to adapt to changing circumstances, increased regulation, increased demand for transparency of information, the call for greater responsibility by business for its actions, and the use of increased judgment, estimation and assumptions by preparers of the EER information.

53-82. The exercise of professional skepticism may be impeded by a number of factors, both external factors, not within the direct control of the practitioner, and internal factors. Heightened awareness of the presence and intensity of these factors can help practitioners to avoid or mitigate their impact by taking appropriate action.

54-83. The diagram below indicates both the attributes and behaviors that may be needed in the exercise of professional skepticism, and possible impediments to its exercise; it is not intended to illustrate all possible factors, but is indicative of the type of factor that may influence the practitioner's exercise of professional skepticism. The dotted boxes are intended to indicate that further impediments may be identified by the practitioner.



56-85. External impediments to the exercise of professional skepticism may arise, for example, as a result of imprecise criteria, subjectivity or complexity of the subject matter, or because EER reporting and the associated governance, processes and controls are at an early stage. It can be difficult to know what the subject matter information should be or what may be of consequence to a user's decision-making when criteria and subject matter allow for a wide range of different interpretations and subjective judgments. As discussed in Chapter 4, assurance competence, strong business acumen and sufficient knowledge of the subject matter and its measurement or evaluation underpin the ability to exercise professional skepticism.

57-86. External pressures such as fee or time pressures may also impede the exercise of professional skepticism, as may an organizational culture or tone at the top that does not tolerate challenge. In such circumstances, practitioners may be reluctant to question when things do not seem right. However, it is important to bear in mind that the objective of an assurance engagement is to enhance the degree of confidence of the intended users in the subject matter information; it is therefore the users' needs that are kept in mind throughout the engagement. Clear and early communication with the preparer about expectations regarding, for example, the timing of deliverables and the availability of evidence and access to personnel may help to mitigate these impediments.

58-87. Internal impediments may arise as a result of factors at firm level, engagement level or personal level. For example, a firm may not encourage differing views, place importance on training and ongoing professional education or develop assurance methodologies for the performance of its engagements. At engagement level, there may be resource constraints that prevent the appropriate competence from being included on the engagement team or that put team members under undue time pressures. Personal traits such as individuals' response to time pressure, stress or conflict, cultural background, intellectual curiosity, confidence to question or personal bias can act as impediments to the proper exercise of professional judgment.

Professional judgment

88. The ability to exercise professional judgment is closely linked with competence in a particular subject matter. It is developed through extensive training and experience in that subject matter. Practical experience and 'on the job' coaching are particularly important in developing the ability to exercise professional judgment, including through the example set by engagement partners, and through more experienced engagement team members providing appropriate direction, supervision and review to less experienced members of the team.

WHAT IS 'PROFESSIONAL JUDGMENT'?

- The application of relevant training, knowledge and experience, within the context provided by assurance and ethical standards, in making informed decisions about the courses of action that are appropriate in the circumstances of the engagement.
- The distinguishing feature of the professional judgment expected of a practitioner is that it is exercised by a practitioner whose training, knowledge and experience have assisted in developing the necessary competencies to achieve reasonable judgments.

- The exercise of professional judgment in any particular case is based on the facts and circumstances that are known by the practitioner.
- Professional judgment is not to be used as the justification for decisions that are not otherwise supported by the facts and circumstances of the engagement or sufficient appropriate evidence.

59-89. While subject matter experts also exercise judgment in relation to their area of subject matter expertise, the standard contemplates professional judgment as part of the assurance skills and techniques of a practitioner, acquired through extensive training, knowledge and practical experience. Professional judgment is necessary regarding decisions about, amongst other matters: materiality and engagement risk; the nature, timing and extent of procedures that will enable sufficient appropriate evidence to be obtained to comply with the requirements of the relevant ISAEs; evaluating the evidence obtained and drawing appropriate conclusions based on that evidence; and the actions to take in exercising professional skepticism.

EXAMPLE

This example uses/builds on the information set out in the example in Chapter 4.

The engagement partner may consider whether the entity may have incentives to misstate the subject matter information (for example, how close the reported BOD is to breaching the acceptable limit, and what the consequences are if the limit is breached).

In this example, the engagement partner, based on their knowledge of the entity, its business and the intended users of the report, has identified the following risks, which have been communicated to the engagement team so that their work can respond to these and any other identified risks, and so that the implications can be considered for the subject matter information:

- The possibility of the estimated volume of water bypassing the RO treatment system being materially misstated; it is also unclear how this wastewater is being disposed of if it is not being discharged into the sewers, and what the implications might be (other than an undercharge to the company) if the local authority requires all wastewater to be disposed of into sewers rather than directly into water courses.
- The possibility that the BOD of water bypassing the waste treatment system is not being measured and reported at all, and may be significantly higher than the reported result, possibly breaching permit conditions; this risk may be exacerbated by the requirement to reduce BOD in the current year.
- Management's use of its own scientists to measure and calculate the BOD, and considerations around the appropriateness of assumptions and methods used, and the of management bias due to a lack of independence.
- Possible incentives to misstate (for example, how close the reported BOD is to breaching the acceptable limit and what the consequences are if the limit is breached).

~~60-90~~. Throughout the rest of this guidance, the exercise of professional judgment and professional skepticism are illustrated by way of examples related to specific decision points in the lifecycle of an EER engagement and are set out in the relevant chapters where those decision points are discussed. Within those chapters, the examples are identified by use of the symbol PJ or PS [as indicated in Chapter 1]. These include: [link to areas to which the examples relate, for example: scoping, competence, evidence-gathering and evaluation, reporting]

~~61-91~~. Further discussion on professional judgment and professional skepticism can be found in the [Supplement].

Documenting professional judgment

~~62-92~~. [Paragraph 79 \(c\)](#) of the standard also requires the practitioner to prepare documentation sufficient to enable an experienced practitioner, having no previous connection to the engagement, to understand the significant professional judgments made in reaching conclusions on significant matters arising during the engagement. Documentation in an assurance engagement includes a record of the practitioner's reasoning on all significant matters that require the exercise of professional judgment, and related conclusions. When difficult questions of principle or professional judgment exist, documentation that includes the relevant facts that were known by the practitioner at the time the conclusion was reached may assist in demonstrating the practitioner's knowledge.

Chapter 10: Obtaining Evidence

Introduction

63:93. Paragraphs 46 to 51 of the standard set out the requirements for a practitioner to obtain an understanding of the underlying subject matter and other engagement circumstances (see Chapter 5 for what is meant by ‘engagement circumstances’), sufficient to:

- a) Enable the practitioner to identify and assess the risks of material misstatement (in a reasonable assurance engagement) or to identify areas where a material misstatement of the subject matter information is likely to arise (in a limited assurance engagement; and
- b) Thereby, provide a basis for designing and performing procedures to respond to those risks or to address those areas and to obtain the level of assurance (limited or reasonable) needed to support the practitioner’s conclusion.

64:94. Paragraphs 48 to 60 of the standard set out the requirements for obtaining evidence, differentiating between limited and reasonable assurance in some respects. Where the standard does not differentiate, the requirements are the same for both limited and reasonable assurance. The table at the end of this chapter summarizes the key differences in the requirements for limited and reasonable assurance when obtaining evidence.

Determining how much evidence is enough in limited and reasonable EER assurance engagements

65:95. However, rather than considering limited and reasonable assurance as two discrete types of assurance, it may be useful to consider them as being differently positioned on a scale that reflects the level of assurance to be obtained by the practitioner, in the specific circumstances of the engagement. In both limited and reasonable assurance engagements:

- The collective persuasiveness of the evidence obtained establishes the actual level of assurance obtained (see the International Framework for Assurance Engagements, paragraphs 63-64, and the Supplement to this guidance, for further guidance on the persuasiveness of evidence);
- The level of assurance obtained, and conveyed in the assurance report, is intended to enhance the degree of confidence of intended users in the subject matter information; and
- The enhanced degree of confidence of intended users is likely to vary with the level of assurance obtained and conveyed in the assurance report, and therefore with the persuasiveness of the evidence obtained.

66:96. In both limited and reasonable assurance engagements, the practitioner also aims to obtain evidence with enough collective persuasiveness to reduce engagement risk to a level that is acceptably low, a level that is likely to enhance intended users’ confidence to a degree that is sufficiently meaningful in the circumstances of the engagement. When limited assurance has been obtained, the level of assurance is required to be at least meaningful (i.e. the assurance obtained is likely to enhance intended users’ confidence about the subject matter information to a degree that is clearly more than

inconsequential). What is meaningful in a limited assurance engagement can range from just above 'clearly inconsequential' to just below what would be meaningful in a reasonable assurance.

~~67~~97. Decisions about 'how much evidence is enough?' therefore depend on the persuasiveness of the evidence obtained in reducing audit risk to the level that is acceptable in the specific circumstances of the engagement, including who the intended users are, what their needs are, and the nature of the risks, or areas of greater likelihood, of the subject matter information being materially misstated. Such decisions will require the exercise of professional skepticism and professional judgment and other assurance skills and experience.

~~68~~98. As discussed in Chapter 1, an EER report may represent different aspects of the underlying subject matter primarily in numerical or narrative form, in either case with related disclosures. Information in the EER report may be in the form of, or a combination of, writing, charts, graphs, diagrams, images or embedded videos. The information may be objective or subjective, historical or future-oriented, or a combination of these. All of these factors can create challenges for practitioners in obtaining the evidence needed to support the assurance conclusion.

~~69~~99. The nature, types and sources of available evidence may be different in an EER engagement from that available in a financial statement audit. However, the key thought processes followed by a practitioner in designing and performing evidence-gathering procedures are likely to be common to any type of subject matter information, including those in an EER report. The thought process set out below may assist practitioners in designing and performing procedures to obtain evidence related to any subject matter information and in evaluating the evidence obtained. The examples illustrate their application in the specific context of EER subject matter information.

~~70~~100. The particular challenges in obtaining evidence related to narrative and future-oriented information are considered further in Chapters 11 and 12, respectively.

The following thought process sets out considerations that may assist the practitioner when determining what evidence is needed and available, when designing and performing procedures to obtain sufficient appropriate evidence, and when evaluating the sufficiency and appropriateness of evidence obtained, in relation to the subject matter information in any EER report. While the thought process is set out in a step-by-step manner, in practice the evidence-gathering process is iterative, and the thought process, or aspects of it, may be revisited as new information comes to light:

1. Considerations when determining what evidence is needed and available may include the following:

- a) What practitioner decision (about what assertion) does the evidence need to address and, if applicable, how does the evidence relate to the subject matter information?

Evidence relates to the subject matter information directly when it relates to whether the subject matter information is materially misstated.

Alternatively, the evidence may only relate to the subject matter indirectly, such as when the evidence needs to be about whether controls over the subject matter information are designed or operated effectively or about the likelihood or magnitude of risks that the subject matter information is materially misstated.

In other cases, the evidence may not be related to the subject matter information at all, such as when it relates to whether a source of evidence or another practitioner exhibits certain characteristics.

When the evidence does not relate to whether the subject matter information is materially misstated, some of the remaining considerations below may not be applicable, or may need to be adapted in the circumstances.

- b) What would the entity be required to assert about the subject matter information in representing that it has been properly prepared in accordance with the criteria (the 'required assertions')? Or, conversely, in what way(s) could the underlying subject matter not be properly measured or evaluated, presented or disclosed in the subject matter information (the 'type(s) of misstatement' or 'what can go wrong(s)')?
- c) What might cause each 'required assertion' or 'type of misstatement' – i.e. what could pose a risk to the proper preparation of the subject matter information in that way?
- d) How does the entity manage and mitigate the risks that the subject matter information might be wrong in that way? For example, what governance and oversight structures, systems, processes and controls are in place to prevent or to detect and correct misstatements?

- e) Is management aware of any actual, suspected or alleged intentional misstatement or non-compliance with laws or regulations affecting the subject matter information and that may increase the likelihood or magnitude of misstatements?
- f) In the context of the particular engagement and particular decision to be made, how precise, detailed and extensive does the evidence need to be, for example, is the subject matter information capable of precise measurement or evaluation or is it subject to estimations and uncertainty?
- g) Does the entity have an internal audit function and, if so, what work have they performed in relation to the subject matter information, and what are their findings? How does that affect the assessment of risk?
- h) What are the available sources of evidence and how does the source affect the persuasiveness of the evidence and the assurance procedures to be performed – for example, is it in written or oral form, related to a point in time or for a period, from outside the entity or internally generated, is it entered into the entity's books and records, does it relate to the operation of controls or is it substantive in nature, and how reliable is it?
- i) Is the evidence needed in relation to the reported information of the company alone or for a multi-location organization or a supply chain (upstream, downstream or both) and what impact will that have on the ability to obtain sufficient appropriate evidence?
- j) Do the procedures to obtain or evaluate the evidence need the application of subject matter expertise or specialist knowledge?
- k) If so, what sources of that expertise or specialist knowledge are available and what will that mean to the direction, supervision and review of their work and the interaction between the subject matter expert/s and the assurance practitioners on the team?

2. Considerations when designing and performing procedures to obtain sufficient, appropriate evidence include:

- a) What is the purpose of the procedure – i.e. what will the procedure achieve or tell me about the subject matter information?
- b) How much evidence would need to be obtained and from which of the available sources?
- c) How relevant and reliable would the evidence need to be, and will the available sources provide that degree of relevance and reliability? If not, are there alternative or additional procedures that can be performed?
- d) What would constitute a misstatement of the subject matter information and how will any identified misstatements be recorded and evaluated?

- e) What is the nature, timing and extent of the procedures and how might that affect the resources needed on the engagement team, and planning and communications with the preparer?
- f) What arrangements are there in place for documenting the work done and evidence obtained, and when will the documentation be available to review?
- g) Who on the team will direct, supervise, perform and review the procedures performed, and when?

3. Considerations when evaluating the sufficiency and appropriateness of evidence obtained include:

- a) Was the planned evidence able to be obtained?
- b) Has any new information come to attention that differs from that expected or that contradicts other evidence obtained? If so, has the appropriateness of the planned procedures been re-evaluated in light of the new information?
- c) Has the evidence obtained from different sources been considered in an unbiased manner?
- d) Does the level of exceptions or misstatements identified differ from expectation?
- e) Is more evidence needed and how will that be obtained?
- f) Have any difficult professional judgments been appropriately reviewed and has appropriate consultation on difficult or contentious matters taken place, if needed?
- g) Has appropriate assurance and subject matter competence and specialist expertise been applied?
- h) Has the exercise of professional skepticism and professional judgment been appropriate in performing the procedures and evaluating the evidence, including in understanding the work of subject matter experts, the assumptions and methods they have used, the basis for their conclusions, and the implications of their findings on the subject matter information and any other aspects of the engagement?
- i) Has the effect of uncorrected misstatements on the subject matter been considered, both individually and in aggregate, and both quantitatively and qualitatively? For guidance on the materiality of misstatements, see Chapter 13 and, in the context of narrative and future-oriented information, also Chapters 11 and 12, respectively.
- j) Have the persuasiveness of the evidence (its sufficiency, and its relevance, and reliability) been considered?

	k) Where evidence represents information that was not verifiable to a high degree of precision, is the range from which the reported information was selected appropriate? l) Have events subsequent to the reporting period been considered, as well as their implications, if any, for the assurance engagement? m) In the face of challenge, would the evidence obtained stand up to scrutiny, and are the evidence and the documentation of that evidence sufficient and appropriate to support the assurance conclusion and to meet the requirements of the standard
--	--

71.101. The thought process is illustrated in the example below by applying it to a case where the subject matter information is quantitative information. For further considerations in applying it to narrative and future-oriented subject matter information, see Chapters 11 and 12.

A hospital is required, by the health regulator, to report and obtain limited assurance on a number of its key performance indicators relating to the quality of its patient care. The report is used by the regulator to assess whether any intervention is needed to improve patient care, but it is also made available online to the public. One of the indicators reports the incidence of methicillin-resistant *S. aureus* (MRSA) infection acquired during an inpatient stay, based on the criteria established by the regulator. The incidence of infection is low and has declined since the previous year to 5 cases in the year.

As the practitioner is to obtain limited assurance over the reported information, the requirements of paragraphs 45, 46L to 49L, and 50 and 51 of the Standard are relevant and the practitioner may apply the thought process as set out below.

When determining what evidence is needed and available:

- The decisions to be made include:
 - o whether the MRSA infection incidence has been reported completely, accurately and in the correct period in line with the specified criteria
 - o whether the MRSA infection rate exceeds, meets or breaches the target set by the regulator
 - o whether the disclosure and presentation of the MRSA infection rate is appropriate and places the subject matter information in context so that users of the information can understand how it has been measured.
- What could go wrong may include:
 - o the MRSA infection rate indicator may not have been prepared in accordance with the required criteria or it may have been misstated in error or deliberately
 - o the hospital reports that it has exceeded/met/breached target when it has not
 - o the disclosure may be insufficient for a user to be able to make decisions, or it may be misleading.
- The reasons for these risks arising may include, amongst others:
 - o lack of awareness of changes made by the regulator to the criteria
 - o lack of segregation of duties of personnel such that errors or deliberate misstatements may not be discovered or corrected
 - o lack of oversight and/or adequate controls over both clinical staff and administration personnel that would prevent or detect missed cases of infection, or prevent inappropriate actions or reporting in the case of suspected or confirmed infections
 - o time constraints preventing proper attention to presentation and disclosure
- The practitioner obtains an understanding of the engagement circumstances, including the process used to prepare the subject matter information. The hospital follows a standard process to identify health care acquired infections. MRSA swabs

are carried out before admission as an inpatient; the system is designed to prevent an inpatient record being created unless the MRSA swab test field has been completed. Anyone with a suspected infection post-admission is blood tested. There are no formal controls in place to make sure that blood tests ordered are carried out or sent to the phlebotomy laboratory. However, the incidence of infection is low and ward sisters have confirmed that they check the patient notes each day and would follow up if no blood test results were received back within 24 hours. On receipt of the blood test results from the laboratory, a nurse enters the results directly into the computerized patient record system. No review or check of these entries is undertaken. At year end, the administration department runs a report to extract all records coded as MRSA+ during the reporting period; those that do not meet the criteria (for example, those tested positive within one day after admission, rather than the three days after admission required by the criteria) are removed by the administration manager.

- In the context of the engagement, as blood test results are either positive or negative, with no estimation involved, the evidence needs to be precise. Due to the low target (5 or fewer cases per year), even one misreported or omitted case is likely to be material. No specialist knowledge is considered necessary on the engagement team as no clinical judgments need to be made, but a knowledge of the regulatory requirements and criteria by the engagement team are essential.
- The practitioner considers the available sources of evidence:
 - o Reports from the on-site independent phlebotomy laboratory (a well-controlled, state-of-the-art laboratory with a good reputation; it provides services only to this one hospital, but its revenues come directly from the Department of Health; no fees are paid by the hospital; the assurance team have been granted access to the laboratory's patient records identifiable only by patient number)
 - o Reports generated internally by the hospital administration department (ineffective controls in place)
 - o Patient complaints and legal or regulatory correspondence (due to the volumes involved and the risk that not all patient complaint forms are retained, these are unlikely to be an efficient way to obtain evidence)
 - o Minutes of meetings of the governors (unlikely to be a useful source of evidence as the governors base their decisions on the same report that is to be subject to assurance procedures)
 - o Media search (possibly useful to help identify risks or as a supplementary source of evidence, but insufficient on its own)

When designing and performing procedures to obtain sufficient, appropriate evidence, the practitioner's thought process may lead to the following conclusions:

- As all inpatients are tested before being admitted, the risk of over-stated infections (i.e. the incorrect inclusion of those cases that were present before admission) is low.

However, due to the lack of controls in place, there is a risk that not all positive MRSA results have been included. The purpose of the particular test being considered is to test for completeness of the subject matter information. Consequently, for this procedure, it will not be of use to test from the reported information to the phlebotomy blood test reports; the team will need to perform procedures from the phlebotomy reports to the reported MRSA cases included in the administration department's report as this will tell the practitioner whether all positive MRSA blood tests that meet the criteria have been included in the subject matter information (completeness assertion).

- As the processes at the phlebotomy laboratory have not been identified as an area where a misstatement of the subject matter information is likely to arise, the practitioner may wish to perform a walkthrough to confirm their understanding of the process and then ask the laboratory to run report from the phlebotomy system for all those blood test records tagged as MRSA positive during the period. The engagement team plans to compare the entries on this report with the hospital's subject matter information, using patient numbers as identifiers. Any missing from the subject matter information will be followed up and investigated. For this particular test, the practitioner considers that this will provide the evidence needed. It is a relatively simple procedure that will be able to be performed by a less experienced team member under the direction, supervision and review of a more experienced assurance practitioner on the engagement.

When evaluating the sufficiency and appropriateness of evidence obtained, for the purpose of this example:

- All except two of the positive tests on the phlebotomy report had been included in the hospital's subject matter information; these were queried and it was found that one test was performed on the first day of the reporting period and related to a suspected infection noticed by the clinician on the last day of the previous period; the other one had been missed off the reported information. These were followed up by the engagement team member:
 - o The previous period item was checked to the previous period's reporting; it had been correctly included in that year's subject matter information.
 - o No explanation could be given for the omitted test. The patient notes showed no record of a blood test having been ordered or performed. Investigation of the edit history on the patient record showed that the record had been closed a few days after the blood test results had been sent by the phlebotomy laboratory to the hospital, but had been reopened and edited several months later by the ward sister. It could not be determined what changes had been made or the reasons. The ward sister says she cannot remember the details, but that she was asked by the clinician to make the changes.
- There are a number of considerations and decisions the engagement partner may need to make in light of this new information, including the materiality and

implications of the omission and whether there is a need to perform further procedures. The engagement partner may reach the following conclusions:

- o 1 misstatement in the context of 5 reported cases is material, especially as it changes the 'met target' to 'breached target', which may affect the regulator's decisions, and may also be of interest to the wider public reading the report.
- o The circumstances suggest that the omission may not be as result of error but that there may have been a deliberate attempt to remove it from the records. This calls into question whether other records could have been tampered with and why that might be the case. If it is deliberate, attempts are likely to have been made to conceal any other such activity and so it may be difficult to obtain further evidence.
- o As this is a regulatory report, withdrawal from the engagement is not possible but there are some difficult decisions to be made and the engagement partner may want to consult further.

In this example, if testing had been performed only from the reported information to the phlebotomy reports, rather than the other way around, it is likely that the omission may not have been discovered as the testing did not answer the question: "What could go wrong?"

[INSERT TABLE SUMMARISING LIMITED/REASONABLE REQs FROM PARAS 48-49 of STANDARD]

Explanatory Memorandum

Draft Guidance

Contextual Information

Credibility and Trust Model

Chapter 11: Assuring Narrative Information

Introduction

72.102. While the thought process for obtaining evidence is similar for any evidence-gathering, there are some unique features of narrative information that may impact the practitioner's ability to obtain persuasive evidence for such subject matter information. Narrative and future-oriented information are considered separately in this chapter and Chapter 12, but they are not mutually exclusive. For example, narrative information may be future-oriented or historically-oriented, and future-oriented information may be presented in either narrative or quantitative form.

Narrative Information

73. Narrative information is commonly understood to be subject matter information expressed predominately using words, although numbers, including historical financial information, and diagrams, charts, images or other visual information may still be included. The information is typically qualitative rather than quantitative. Some aspects of the underlying subject matter may be represented in the subject matter information primarily using narrative information. For example, an entity's governance structure, business model, goals or strategic objectives may be described primarily with narrative information, with some supporting quantitative disclosures.

74.103. Narrative information in EER reports may be:

- a) factual (directly observable and therefore more readily captured by the reporting system); or
- b) inherently subjective (not directly observable or readily captured by an entity's reporting system, and susceptible to being more reflective of, and more variable with, the views of those reporting it).

EXAMPLE

Examples of purely factual narrative subject matter information:

- “An audit committee comprised of non-executive directors was established in the year”
- “We bought a factory in Canada”

Examples of subjective narrative subject matter information:

- “We produce healthy food for children”
- “Our impact on the environment is minimal”
- “We have successfully implemented flexible working throughout the organization”

These particular examples of subjective narrative subject matter information may be overly vague and unsubstantiated such that it is unlikely that the criteria would be suitable-reliable, and hence it may be difficult to obtain assurance without further development of the criteria so that the application of those criteria result in information that is able to be objectively measured or evaluated.

For the first example of subjective narrative subject matter information above, ‘healthy food for children’ could be defined for the purpose of reporting as ‘food containing no artificial flavourants or colourants, and less than x g of salt and less than x g of sugar per 100g portion. Then, if those criteria were made available, the ‘healthy food for children’ might be suitable for assurance. However, there may also need to be disclosure if the entity produced unhealthy food for children in another product range (completeness of information/balance)-

75.104. Narrative information that is not factual is subject to management judgment and may be more susceptible to management bias. The key challenge in relation to narrative information is how to address the inherent subjectivity and increased risk of management bias and to manage potentially unrealistic expectations that the practitioner can reduce the degree to which the subject matter information is affected by inherent subjectivity.

Specific Considerations for Determining the Suitability of Criteria

76.105. Subject matter information expressed in words may result from criteria representing different qualities of the subject matter elements compared to numerical subject matter information or metrics, however the requirements for criteria to be suitable remain the same.

77.106. Reliable criteria for narrative information ~~may~~ need to be well-defined and therefore reasonably unambiguous so as to allow reasonably consistent measurement or evaluation of the underlying subject matter.

EXAMPLE

In applying criteria requiring an entity to report the aspects of its strategy that will help it achieve its principal objectives, an entity may report that such an aspect is its policy to prioritize providing high standards of service to its customers. The criteria behind this information appear to be insufficiently defined as the information is ambiguous (hence the criteria may not be reliable because the resulting subject matter information may not result from reasonably consistent evaluation of the underlying subject matter). It is unclear whether the criteria require the entity merely to disclose that it has such a policy in place (either formally written or not), or that its behavior complies with that policy or that the policy is effective in helping it achieve its objectives.

107. It is particularly important for narrative information that the criteria result in subject matter information that is understandable (including being unambiguous as to its intended meaning) and neutral, as subject matter information in narrative form may be at particular risk of failing to exhibit these characteristics. This is often because words and images can be inherently ambiguous in their meaning ~~and definitions, and charts, graphs and diagrams may be presented out of context~~. Most importantly, the criteria cannot result in subject matter information that is misleading to the intended users⁴.

~~78.~~ Where the criteria are not suitable and the resulting subject matter information is subjective and therefore not capable of being assured, the practitioner may discuss this with the preparer so that the subjective information can be amended, removed from the subject matter information, moved to an 'unassured' section of the preparer's report (such that it becomes 'other information' that is not subject to assurance, but is read for consistency with the subject matter information). Alternatively, suitable criteria may be able to be developed by the preparer, such that the subject matter information is able to be reasonably consistently evaluated.

108.

~~79.~~109. If the preparer is unwilling to change the narrative information that does not result from applying suitable criteria, the practitioner may consider that the information is 'other information' (see paragraph 108) and may need to consider carefully what that means for the assurance conclusion, particularly if there are indications that the narrative information is incorrect, potentially misleading to users, or cannot be substantiated or is not separately identified as not subject to assurance.

⁴ ISAE 3000 (Revised) paragraph A50

EXAMPLE

The criteria require an entity to report its principal achievements in the year. A simple statement such as “We won the award for Best Company of the Year” could be technically free from error, but still be misleading if:

- The award relates to the company’s operations in only one small jurisdiction and not the whole company.
- The award was not awarded by a well-recognized and respected body, independent to the company.
- The award was not the result of a fair competition, for example if not all companies were eligible.

In such circumstances the practitioner may need to consider whether the criteria define the concept of a ‘principal achievement’ in sufficient detail, for example, addressing matters such as the scope of the company’s operations addressed by the award, the standing of the awarding body, or the scope of eligibility for the award, to be understandable, and whether the criteria should require disclosures about such matters for the resulting subject matter information not to be misleading and therefore for the criteria to be suitable.

Explanatory Memorandum

Draft Guidance

Specific Considerations for Using Assertions and Testing Narrative Information

- c) ~~is will, and th There is a difference between simple controls and inadequate controls.~~
- d) ~~The use of internal sources as a basis for reporting the information, for example, information may be entered directly into the entity’s system on a real time basis without any hard copy documentation to support it, or may be obtained through informal communication by way of telephone calls, email or other internal communications. The practitioner will need to consider what evidence is available to support the information being recorded or gathered in this way as these sources, alone, will not be sufficient. For example, where information is being captured by the entity directly onto a computerized system, the practitioner may need to understand and confirm the physical and logical security and access controls in place around the entry of information, and the basis for the entries being made. Where information is gathered through informal communications, the preparer’s underlying books and records should include sufficient evidence to back up those communications.~~

Contextual Information

Credibility and Trust Model

EXAMPLE

~~A parent company preparer may receive an email from its foreign subsidiary telling the parent about an accidental spillage of hazardous sludge into water sources during the production process at its local operations. The email may say that the spillage was not significant, that there had been an immediate clean-up to bring it under control and that no further action was needed.~~

~~The preparer may base the report wording on the wording in the email when preparing the narrative subject matter information. Such an email would not provide sufficient evidence to support the narrative in the EER report. The practitioner would need to consider what further evidence might be available, for example, there may be documentation from the local environment agency that provides evidence of an inspection and clean up and that levels of hazardous chemicals after the clean-up are within safe limits.~~

e) —

f) ~~The timeliness with which narrative information is prepared. Preparers may focus on providing quantitative information to the practitioner, but it may be important for the practitioner to obtain the entity's draft narrative information early in the engagement so that the work needed to obtain assurance evidence in relation to the narrative information can be properly planned for, and there is enough time for the preparer to make revisions, where needed.~~

~~Assertions embodied in the narrative information may be explicit or implicit. Different assertions may be applicable or more important for narrative information compared to numerical subject matter information, however this will depend on the criteria being used. Even in situations where the same assertions are applicable, there may be more focus on assertions such as understandability and comparability for information in narrative form.~~

110. A number of challenges may arise in the context of obtaining evidence for narrative subject matter information, including:

- a) The effectiveness or otherwise of an entity's systems, processes and controls to identify, record, process and report the subject matter information. While the standard does not explicitly require an effective internal control system, and does allow for a wholly substantive approach, if there is little rigor to how management gathers the information included as narrative in their EER report, there may be little basis for the practitioner to obtain assurance over the subject matter information.
- b) Substantive testing alone of the reported narrative information may be insufficient as it will not provide evidence as to the completeness and balance of that subject matter information. Such an approach is only possible when there is a reasonable expectation of the evidence being available, and that is dependent on the controls in place. The preparer's processes and records should be sufficient to provide a reasonable basis for narrative subject matter information, its sources, the criteria and the methods used to record the underlying subject matter based on those criteria. If the underlying circumstances for the preparation of the subject matter information are not complex, the controls may be informal or fairly simple controls; the greater the complexity the more important will be the processes and controls in place. There is a difference between simple controls and inadequate controls.

Explanatory Memorandum

Draft Guidance

Contextual Information

Credibility and Trust Model

- c) The use of internal sources as a basis for reporting the information, for example, information may be entered directly into the entity's system on a real time basis without any hard copy documentation to support it, or may be obtained through informal communication by way of telephone calls, email or other internal communications. The practitioner will need to consider what evidence is available to support the information being recorded or gathered in this way as these sources, alone, will not be sufficient. For example, where information is being captured by the entity directly onto a computerized system, the practitioner may need to understand and confirm the physical and logical security and access controls in place around the entry of information, and the basis for the entries being made. Where information is gathered through informal communications, the preparer's underlying books and records should include sufficient evidence to back up those communications.

EXAMPLE

A parent company preparer may receive an email from its foreign subsidiary telling the parent about an accidental spillage of hazardous sludge into water sources during the production process at its local operations. The email may say that the spillage was not significant, that there had been an immediate clean-up to bring it under control and that no further action was needed.

The preparer may base the report wording on the wording in the email when preparing the narrative subject matter information. Such an email would not provide sufficient evidence to support the narrative in the EER report. The practitioner would need to consider what further evidence might be available, for example, there may be documentation from the local environment agency that provides evidence of an inspection and clean up and that levels of hazardous chemicals after the clean-up are within safe limits.

- d) The timeliness with which narrative information is prepared. Preparers may focus on providing quantitative information to the practitioner, but it may be important for the practitioner to obtain the entity's draft narrative information early in the engagement so that the work needed to obtain assurance evidence in relation to the narrative information can be properly planned for, and there is enough time for the preparer to make revisions, where needed.

111. Assertions embodied in the narrative information may be explicit or implicit. Different assertions may be applicable or more important for narrative information compared to numerical subject matter information, however this will depend on the criteria being used. Even in situations where the same assertions are applicable, there may be more focus on assertions such as understandability and comparability for information in narrative form, as well as consistency with other information presented by the entity in the same document.

EXAMPLE

An entity has included the following statement in its narrative subject matter information:

“The increase in Scope 1 and 2 greenhouse gas emissions and in water abstracted is due to the extension of our largest production plant in Europe and the acquisition of a new production plant during the first quarter of the year. For the purpose of comparison with last year’s reported performance for these indicators, the KPIs for the current year have been presented both with and without the greenhouse gas emissions and water intake information relating to extension and acquisition.

We have minimized our water intake at all of our sites during the current year. At all operations other than our largest European production plant, GHG emissions have decreased significantly over the previous year due to improved oversight.”

The entity is explicitly asserting that there has been an increase in GHG emissions and water abstracted, that they have extended their production plant and acquired a new one.

It is also implicitly asserting, amongst other matters, that the KPIs are accurately reported, that all GHGs have been measured, recorded and converted to CO₂ equivalents using appropriate conversion factors, that there is no omission of water sources, that the subject matter information has been disclosed appropriately and that it is consistent with other information in the annual report and accounts.

On the face of it, the narrative looks like a plausible explanation for the increase in GHG emissions and water abstracted. The practitioner has checked that the information about acquisitions and expansions is consistent with the financial statements. However, there are a number of further considerations that the practitioner may need to consider:

- The highlighted text above is not capable of being subjected to evidence-gathering procedures as it is uncertain in meaning, subjective or vague. If it is to be capable of assurance, then ‘minimized’ and ‘significantly’, as used in this context, need to be defined otherwise they may mean different things to different users; what ‘improved oversight’ entails should be clearly set out and there needs to be evidence of such oversight. Alternatively, the preparer may remove this paragraph from the narrative subject matter information.
- There will need to be evidence for the statement that the increase in GHG emissions and water abstracted is due only to the extension and acquisition, and that at all operations other than the European operation GHGs have decreased. The practitioner may therefore wish to obtain evidence that the subject matter information relating to the extension and acquisition does, in fact, relate to the extension and acquisition and that no other subject matter information is included that may inflate the information relating to the extension and acquisition and understate the KPIs for the rest of the group/other sites.

80.112. When testing- and documenting the practitioner’s work in relation to narrative information, it may be necessary to break up long pieces of text and consider sections, paragraphs or sentences

separately where these talk about different things. It is likely that different assertions will be applicable to each. Where the scope of the assurance engagement is the whole EER report, then any narrative information, including charts, diagrams and images, is subject to the same rigor as numerical information when obtaining evidence. Some of the evidence may be available from procedures performed in respect of related quantitative information, but additional work is likely to be needed.

81-113. Individual claims or indicators in the subject matter information can be individually significant and can be tested separately, particularly where ~~it is~~they are part of wider sections of narrative information (not all of which might be as significant). In other circumstances a paragraph of text comprising related information may need to be considered together.

82-114. Practical methods of doing this may include highlighting the text in different colors or by drawing boxes around sentences or sections of significant narrative information in the practitioner's documentation of the work done and evidence obtained. The practitioner can then test each one, and ultimately the assurance working papers can be referenced to the related parts of the text in the subject matter information.

EXAMPLE

Below is an example of information that may be included in an EER report. The sentences have been numbered in brackets. For this example, assume the criteria are included a requirement to report “the water intake by the company in the reporting period, the change from the previous reporting period, and an explanation for the change”.

“(1) Water is needed to support all life, and yet it can be a scarce resource in some parts of the world, requiring us to use water responsibly for all our operations.

(2) We monitor the water we use across all our sites for manufacturing, cooling, sanitation and landscaping, so that we can develop effective approaches to conserve water. (3) In 20X8, our water intake was 400 million gallons; an increase of 5 percent on the previous year. (4) This was mainly caused by growth in manufacturing across all our sites.”

Sentence (1) is a statement of generally accepted truths but is vague and may be unsubstantiated. It does not directly relate to what the criteria require as described above. It may be considered to be additional contextual disclosures about why responsible use of water is appropriate and could result from applying an unidentified criterion. The practitioner may consider that such a criterion is suitable and has been made available to intended users by general understanding.

Alternatively, the practitioner could consider it to be ‘supplementary information’. If so, the practitioner may consider it to be ‘other information’ (which cannot readily be identified as not subject to assurance), or integral to the subject matter information and therefore subject to assurance. In either case, given that there may be little likelihood of it being materially misstated or misleading in this case, and that intended users may not pay much attention to it, and hence it is may be unlikely to warrant the practitioner’s attention unless it is clearly incorrect or misleading.

However, in other circumstances such information may not be considered to result from applying an unidentified suitable criterion and be detracting from the information required by

the criteria, which will assist the intended users' decision-making (i.e. it may not be relevant). Asking the preparer to delete such information or to move it to a separate unassured section of the report will enable the practitioner to subject the information that is able to be substantiated to evidence gathering procedures, and may help achieve balance between relevance and conciseness. If the preparer is not willing to delete it, the practitioner may need to consider whether there is a misstatement of presentation if the information is obscuring the understandability of relevant information.

Sentence (2) is more specific to the entity, more factual and less subjective, however again it does not directly address the criteria ~~as and it is unclear~~ as to what 'monitoring' entails and what the entity regards as an ~~'effective approach', and so may not be considered by the practitioner to result from applying suitable criteria.~~ If so, similar considerations as those discussed in relation to sentence (1) may apply. Alternatively, ~~t~~The preparer may be able to define more clearly in the narrative information what these terms means, such that the practitioner may be able to conclude the statement results from applying suitable criteria and obtain sufficient appropriate evidence about it~~confirm if it is a true statement – (and hence whether it is not misleading), perhaps from existing knowledge of, or work on, the monitoring procedures undertaken by the entity and the actions taken as a result of that monitoring. If there is no evidence available does not~~ support this statement, then the practitioner~~preparer~~ may recommend that the preparer consider removing the sentence.-

Sentence (3) contains quantitative information ~~that, along with~~ and sentence (4) qualitative information, which appear to result from apply the criteria and is likely to be the focus of the practitioner's testing and work effort~~can appear to be capable of being subjected to evidence-gathering procedures.~~ -Sentence (4) is an explanation that may fulfil the requirements of the criteria if it is accurate, complete and free from bias. The practitioner may attempt to corroborate this with data on manufacturing levels.

For documentation purposes, tThe practitioner may choose to~~accordingly highlight it or draw a box around mark up a copy of the narrative information being assured by separating~~ identifying each different statement or paragraph that has been subjected to evidence-gathering procedures, it, and referencing each separately identified part of the narrative information to- supporting workpapers where the testing is documented.

~~Sentence (4) is an explanation that may fulfil the requirements of the criteria if it is accurate, complete and free from bias. The practitioner may attempt to corroborate this with data on manufacturing levels.~~

83-115. Purely factual narrative subject matter information is more straightforward to test for misstatement (by direct observation) than subjective narrative subject information. In the e is case of factual narrative, the practitioner's primary focus may be on whether the subject matter information is correct or incorrect (free from error assertion), although other assertions such as completeness and neutrality may also be a consideration.

116. More judgement may be required by a practitioner to test assertions for subjective narrative subject matter information. This is because the information cannot be directly observed, and its preparation is the result of an indirect process that the practitioner would then verify, including the validity of the

process and basis for the assumptions made. Whether the subject matter information is neutral and free from bias may become more of an area of focus for the practitioner due to the subjectivity. As noted in paragraph 178, neutrality may be identified as a separate assertion or as an aspect of other assertions.

117. Consideration may need to be given to whether diagrams, charts and images used are congruent with the messages in the narrative information or whether they give a conflicting impression. For example, it may be incongruent for the preparer to show images of happy communities where the company is reporting that it has relocated a community to make way for new production facilities.

Specific Considerations for Evaluating Misstatements in Narrative Information

84. Evaluating whether misstatements in subject matter information in narrative form are material may require use of the materiality considerations in Chapter 132—as numerical thresholds are not appropriate. Paragraph A95 of the standard also sets out various qualitative factors that may be considered when evaluating the materiality of misstatements.
118. When evaluating a misstatement within narrative subject matter information, whether factual or subjective, the same considerations may be used to conclude whether the misstatement is material, focusing on whether the misstatement could reasonably be expected to influence decision-making by the intended users. Misstatements in narrative subject matter information may arise through:
- a) The inclusion of inappropriate information, for example, information that does not meet the criteria or that obscures or distorts information required by the criteria;
 - ~~a)b)~~ The omission of information required by the criteria or that would be significant to the decisions of users, for example, information relating to a significant subsequent event that would be likely to change the decisions of users but has not been disclosed;
 - ~~b)c)~~ Misstatements of fact;
 - ~~b)d)~~ Ambiguous statements or statements the meaning of which is unclear;
 - ~~b)e)~~ Presenting in vague terms information that is capable of being determined precisely;
 - f) Changes since the previous reporting period to disclosures or presentation without reasonable justification for doing so and/or without disclosure of the reasons for doing so; or
 - g) The inclusion of graphs, charts, diagrams or other visual aids that present the information out of context, distort the information or are incongruent with the narrative textual statements.
119. Where misstatements are identified in narrative, non-quantifiable information, the practitioner may record them by listing them or by marking up or highlighting them in a copy of the narrative information. Irrespective of how misstatements are accumulated during the engagement, when evaluating the assurance evidence obtained and in forming the assurance conclusion, the practitioner needs to consider not only individually material uncorrected misstatements, but also individually immaterial misstatements that, when considered collectively, may have a material-impact on the subject matter information taken as a whole. However, where the subject matter information

is not quantifiably measurable, it is not possible to simply add the misstatements together to determine their effect in aggregate.

120. When the narrative subject matter information relates to one subject matter, it may be relatively straightforward to evaluate the combined effect of individually immaterial misstatements on the subject matter information as the misstatements are considered within the context of that subject matter information only. However, when the subject matter information is an entire EER report covering a wide range of subject matters, it may be more challenging to find a way of evaluating the combined effect of uncorrected narrative misstatements on the EER report as a whole. There may not be a common factor linking the various parts of the subject matter information, different emphasis may have been given to different aspects of the information included in the EER report or different aspects may be more significant than others to intended users.

121. The practitioner's understanding of who the intended users are and what aspects of the subject matter information are likely to be important are essential to the practitioner's ability to make judgments about which misstatements are material; materiality judgments are made from the perspective of the intended users.

122. It may be possible, once all non-quantifiable misstatements have been listed, to group them together, for example, by whether a criterion requirement has not been followed or by subject matter. For example, in an entity's ESG report, there may be one or more individually immaterial misstatements in the narrative statements management has made about the health and safety of its workforce and another immaterial misstatement relating to employee diversity. As health and safety and diversity both relate to the social aspect of an ESG report, the practitioner may be able to group these misstatements together and consider their combined effect on the social dimension of the entity's ESG report. Similarly, a number of immaterial misstatements in the reported water usage information and another immaterial misstatement relating to waste generated may be able to be considered together as they both relate to the environmental aspect of the ESG report

123. Even if there are misstatements that are not be able to be grouped together by subject matter or other common factor, they may exhibit a common 'direction' or trend. For example, if the effect of the misstatements is to make the subject matter information, taken as a whole, look better than it really is, or all the misstatements overstate the positive efforts and impacts of the company's actions, and downplay the negative aspects, that may add up to give a biased and misleading picture to a user of the subject matter information taken as a whole.

124. Understanding the underlying cause of identified misstatements may also help the practitioner to evaluate their materiality to the subject matter information as a whole. For example, narrative misstatements may be due to misunderstanding, oversight or error by an employee preparing the subject matter information, or may be because management has intentionally taken a decision to misrepresent facts. The former may not be considered to be material, whereas the latter may be. An individually immaterial misstatement may affect another part of the subject matter information, resulting in a misstatement of that part [Example to be developed and included].

85.125. As with any other misstatements, the practitioner may encourage the preparer to correct them. In the case of narrative information, this may frequently involve either re-wording or removing the misstated text. _If the preparer declines to correct them, the practitioner is required to consider whether an unmodified conclusion is appropriate.

Other Information Alongside Narrative Information

126. Where an entity's EER reporting is integrated with its financial reporting, the practitioner's responsibility to read the 'other information' as required by the standard will extend to the information contained within the same document/(s) as the EER report – i.e. to the financial statements and any narrative related to those financial statements. The practitioner considers the consistency of that other information with the subject matter information. There may be legitimate differences between the subject matter information included in an EER report and the other information related to the same subject matter, depending on the criteria used, but the differences may need to be explained or reconciled by the preparer and disclosed so that a user of the integrated report can understand the reasons for the differences.
127. Where the subject matter information is part, but not all of an EER report (e.g. only part of the preparer's EER report is subject to assurance), but that part is comprised of both narrative and quantitative information, then that part that is subject to assurance (both the narrative and quantitative elements of it) are the subject matter information and any information outside of that subject matter information is 'other information'.

Chapter 12: Assuring Future-Oriented Information

Specific Considerations for Testing Future-Oriented Information

Introduction

~~86.128.~~ EER may contain ~~a variety of~~ different forms of future-oriented subject matter information, which may fall into one of these categories:

- a) Information predicting future conditions or outcomes. This may include forecasts, projections, and information about future risks and opportunities.
- b) Information regarding the entity's intentions or future strategy.

~~87.129.~~ In all cases, the subject matter information ~~will be~~ is the result of applying criteria to the underlying subject matter, which require description of the future state or condition, or a future change in state or condition over time, of an aspect of the underlying subject matter ~~element~~.

EXAMPLE

If the subject matter element was a forest under the control of the entity, the subject matter information might describe a forecast of the expected average growth of the trees over the next five years (future change in state over time), or the expected average height of the trees in five years' time (future state).

The subject matter information might also describe the future risks of disease affecting the forest (which would change ~~the its~~ future condition ~~of it~~), or the entity's future intentions to chop down parts of the forest (again changing ~~is the~~ future condition ~~of it~~).

~~88.130.~~ Future-oriented subject matter information may describe:

- a) things that will be subsequently observable; or
- b) hypothetical things that will never be observable.

~~89.131.~~ For subsequently observable future-oriented information, it will be possible at a later point in time to observe the precision with which the forecast, projection, prediction, or intention reflected the subsequent reality, or the extent to which anticipated and unanticipated future risks or opportunities materialized. Hypothetical information includes a condition on the projection, prediction or intention. For example, a projection could be made, conditional on an entity winning a particular contract, that the entity's profit would increase 5% next year.

EXAMPLE

The difference between observable and hypothetical subject matter information is illustrated by the difference between a forecast and a projection (as based on definitions in ISAE 3400⁵, paragraphs 4-5):

A **forecast** is prepared on the basis of assumptions as to future events that management expects to take place and the actions management expects to take as of the date the information is prepared (best estimate assumptions).

A **projection** is based on hypothetical assumptions about future events and management actions that are not necessarily expected to take place, or a combination of hypothetical and best estimate assumptions. Such information illustrates the possible consequences as of the date the information is prepared if the events and actions were to occur. This may be known as a scenario analysis.

~~90.132.~~ As with narrative information, some future-oriented information is factual and therefore does not contain a significant~~ay~~ degree of uncertainty, for example the debt maturity profile of an entity that is determined by contractual terms. An alternative example is where future-oriented information is repeated from an external source (for example, a central bank's inflation forecast), as the claim being made by the preparer is likely to only be that it is in a third party's information, which itself is verifiable.

~~91.133.~~ As performing an assurance engagement on this type of information is not considered to pose a particular challenge for a practitioner, the remainder of this chapter of the document only considers future-oriented information subject to estimation uncertainty, referred to as subjective information.

Specific Considerations for Determining the Suitability of Criteria

~~92.134.~~ Future-oriented information results from applying criteria to the underlying subject matter, just like any other subject matter information. However, the criteria will ask different questions about the subject matter elements, often asking for description of the future state or condition of the element, or a future change in state or condition over time (see paragraph ~~202~~ for an example).

~~93.135.~~ Whether the criteria from which future-oriented information results are suitable or not can be determined in the same way as any other criteria as described in Chapter 7.

~~94.136.~~ For subjective future-oriented information, ~~the suitable~~ criteria may ~~need to~~ require ~~disclosure~~detailed description of the assumptions and the nature, sources and extent of uncertainty ~~in order to be suitable~~. It may still be possible to obtain assurance over uncertain subject matter information if it is supported by adequate disclosure such that the uncertainty is adequately conveyed to the intended users.

Specific Considerations for Using Assertions and Testing Future-Oriented Information

~~95.137.~~ Assertions for future-oriented subject matter information are likely to be similar to historical subject matter information with inherent measurement or evaluation uncertainty, and therefore the guidance in Chapter 9 is broadly applicable. Where future-oriented information is more subjective, assertions such as neutrality may become more of the focus for testing due to the risk of management bias.

⁵ International Standard on Assurance Engagements (ISAE) 3400 (Revised), *The Examination of Prospective Financial Information*

Presentation or understandability assertions may also be a focus where good disclosure of assumptions and the context of subjective information is necessary.

96.138. Where criteria require a statement of intended future strategy, a target, or other intentions of an entity, the explicit material assertion that a practitioner can test is whether management or those charged with governance have an intention to follow that strategy or that the target or intention exists (existence assertion). Appropriate evidence could be obtained in the form of documentation of board meetings or actions that management have already taken to work towards adopting the strategy or agreeing the target. There is likely to be a further implied assertion that the entity has the capability to carry out its intent, or will develop the means to do so, or there may be separate explicit criteria addressing capability. However, a practitioner is ordinarily not in a position to ‘predict the future’ to obtain assurance on whether the intended outcomes of a strategy or a target will be achieved or not.

97.139. Similarly, where criteria require information about future risks and opportunities to be reported, the assertions to be tested will likely include that the risks and opportunities exist (existence assertion) and that the list of risks and opportunities is complete (completeness assertion) with respect to the risks and opportunities which would assist intended users’ decision-making. The completeness assertion may be tested by reference to the entity’s risk register or records of discussions of those charged with governance. However, it is important that the processes and controls in place over the maintenance of the risk register and the minuting of discussions provide a reasonable basis for using these sources as evidence.

98.140. The existence assertion is closely related to the underlying subject matter needing to be identifiable (see paragraph 48). A practitioner is ordinarily not able to obtain assurance on whether the risks and opportunities will materialize or not, however it may be possible in some circumstances to obtain assurance on information about the nature of the risks and opportunities, for example their likelihood or potential impact. Whether this is possible will depend on whether the exact criteria are suitable and the availability of appropriate evidence. A common challenge is that the likelihood of and potential impact of risks and opportunities can change significantly and quickly due to factors that may be unknown by the entity or outside of its control.

99.141. Subject matter information predicting future conditions or outcomes (for example, forecasts, projections and predictions) relates to events and actions that have not yet occurred and may not occur, or that have occurred but are still evolving in unpredictable ways. As above, the practitioner is ordinarily not in a position to ‘predict the future’ and express an assurance conclusion as to whether the results or outcomes forecasted, projected or predicted will be achieved or realized. The practitioner may instead focus on whether any assumptions are reasonable and that the subject matter information has been properly prepared in accordance with the applicable criteria.

100.142. The practitioner may need to consider that while evidence may be available to support the assumptions on which the future-oriented subject matter information is based, such evidence is itself generally future-oriented and, therefore, speculative in nature, as distinct from the evidence ordinarily available in relation to historical events and conditions.

143. When considering subject matter information predicting future conditions or outcomes, the same thought process as was considered in Chapter 10 can be applied. The practitioner may ask what decision is to be made, why the representations being made by the entity may not be true, how the

risks might arise of those representations not being true, and how management of the entity manages and mitigates those risks.

144. The practitioner's considerations in relation to the evidence that may be available may include, amongst other matters:

- a) What governance and oversight the entity has in place over the reporting of the prospective EER information, and whether there are systems, processes and internal controls that provide a reasonable basis for the assumptions made by the entity and for the data or other information used as basis for its forecasts or projections;
- b) What sources of information the preparer has used as basis for the assumptions made, and the reliability of those sources;
- c) What statistical, mathematical or computer assisted modelling techniques, if any, the preparer has used, and what methods for developing and applying the assumptions have been used;
- d) How reliable those techniques and methods are, and how relevant they are to the subject matter being forecast;
- e) The preparer's previous experience and competence in making projections;
- f) The accuracy of previous projections made by the preparer and the reasons for significant differences between the projected outcome and the actual outcome. Where the preparer has a history of making reasonably reliable projections, that may reduce the risk of the future-oriented representations made by the entity being materially misstated. However, that may not be the case if the underlying subject matter is inherently volatile or subject to change;
- g) The time period being covered by the future-oriented information. The longer the time period covered, the more speculative the assumptions become as the ability to make a best estimate decreases.
- h) The inherent susceptibility of the subject matter to change and the sensitivity of the assumptions to changes that may occur.
- i) The extent to which the future conditions are solely or partly under the entity's own control or whether they are outside of the entity's control;
- j) The evidence and documentation the preparer has in place to support both the assumptions made and the proper preparation of the subject matter information from those assumptions and how persuasive the evidence is;
- k) Whether there is a need for subject matter or other expertise on the engagement team and, if so, the sources of that expertise.

145. The considerations when designing and performing the procedures to obtain sufficient, appropriate evidence and when evaluating the sufficiency and appropriateness of evidence obtained are similar to those set out in Chapter 10 and, where future-oriented information is presented in narrative form, also to the considerations set out in Chapter 11.

146. However, it may be more difficult to determine the persuasiveness of evidence when it is more speculative in nature than when it is factual. While written representations from management do not take the place of sufficient, appropriate evidence, it may be relatively more important in the context

of an engagement to assure future-oriented information to obtain written representations from those charged with governance of the entity confirming that the assumptions as of the date of the assurance report remain appropriate even though the underlying information may have been accumulate over time.

147. Similarly, future-oriented information is subject to greater uncertainty than historical information so it may be acceptable to assess whether the outcome is within a reasonable range of possible outcomes.

148. Disclosures may be particularly important in the context of future-oriented information to enable a user to understand the context for the subject matter information and the inherent uncertainties involved. The practitioner's considerations on whether the disclosures in the subject matter information are appropriate may include whether:

- a) The presentation of the future-oriented information is informative, neutral and not misleading;
- b) The assumptions used and the basis for those assumptions are clearly disclosed;
- c) The basis for establishing points in a range is disclosed and the range is not selected in a biased or misleading manner when the future-oriented EER subject matter information is expressed in terms of a range;
- d) The date as of which the future-oriented information was prepared is clear and there is a statement that the assumptions are appropriate as at that date;
- e) The uncertainties and sensitivities involved are disclosed, enabling a user to understand the implications of 'what if?'
- f) Where comparatives are presented, whether there have been any changes in the current period to the assumptions made or the basis on which the subject matter has been prepared, the changes are disclosed together with the reasons for those changes and their effect on the subject matter information.

[Examples under development of future-oriented information (narrative and quantitative) including disclosure; one of which on strategy/ governance]

Specific Considerations for Evaluating Misstatements in Future-Oriented Information

[Under development]

Reporting Considerations for Future-Oriented Information

[Under development]

Chapter 14: Preparing the Assurance Report

Introduction

~~101.149.~~ In performing an assurance engagement, an objective of the practitioner is to express one or more conclusion(s) regarding the outcome of the measurement or evaluation of one or more aspects of the underlying subject matter(s), through a written report. The assurance report conveys the assurance conclusions and describes the basis for that conclusion(s).

~~102.150.~~ The practitioner aims to obtain sufficient appropriate evidence in order to express a conclusion(s) designed to enhance the confidence of intended users about the subject matter information. The assurance report is the only means by which the practitioner communicates the outcome of the assurance engagement to the intended users.

~~103.151.~~ Although the standard specifies minimum elements that are required to be included in assurance reports, it does not require a standardized format for assurance reports. Assurance reports are tailored to the specific engagement circumstance, which involves the exercise of professional judgment. To facilitate effective communication to the intended users, the practitioner may choose a short-form or long-form style of report. A short-form report usually only includes the basic elements that are required to be included in the report. A long-form report may include a wide range of additional elements.

~~104.152.~~ Considerations that may assist the practitioner in exercising professional judgment to prepare an assurance report that facilitates effective communication to the intended users and the achievement of the practitioner's objective may include whether, in the specific circumstances of the engagement, the report:

- a) Contains all the information that is useful to intended users in reaching appropriate conclusions about the nature and level of assurance the practitioner obtained (is relevant and complete);
- b) Contains only information that can be relied upon by the intended users to convey what it purports to convey (is reliable);
- c) Conveys that information in an unbiased manner (is neutral); and
- d) Clearly communicates to the intended users both the meaning and significance of the information it seeks to convey (is understandable).

The Complexities of EER Reporting

~~105.153.~~ As discussed in Chapter 1, an EER report may in some cases cover underlying subject matters that are diverse in nature and have diverse characteristics. Even when the underlying subject matters are relatively homogeneous, the characteristics of the underlying subject matter, the nature of the criteria and the presentation format of the subject matter information may give rise to complexity or inherent measurement or evaluation uncertainties.

~~106.154.~~ Such matters could be impediments to understandability of the report, depending on the specific circumstances of the engagement, if their implications are not clearly communicated to the intended users. Such matters may include:

- a) The scope of the underlying EER report and how it is presented. For example, it may be in the form of a traditional standalone report or may be spread across various pages on a website with hyperlinks between pages;
- b) The identification and diversity of intended users and the decisions they expect to make based on the EER report;
- c) The diversity and characteristics of aspects of the underlying subject matter. For example, whether they are:
 - i) Qualitative or quantitative
 - ii) Subjective or objective
 - iii) Future-oriented or historical
 and the complexities and uncertainties associated with their measurement or evaluation;
- d) The criteria used, including where the criteria may be based on a framework but required further development by the entity in order to be suitable, or whether the criteria were selected from multiple frameworks;
- e) Materiality considerations and whether those considerations are in the context of a whole report or less than the whole report, and whether they are in respect of qualitative or quantitative subject matter information;
- f) The range of competencies that were needed to perform the engagement and how they have been deployed on the engagement;
- g) Whether the engagement is a reasonable or limited assurance engagement or includes both limited and reasonable assurance for different aspects of the underlying subject matter information, resulting in multiple assurance conclusions;
- h) The professional and ethical standards under which the engagement has been performed, for example, whether the assurance engagement is performed under more than one assurance standard or under ethical or quality control standards other than those issued by the IAASB or IESBA.

Communicating Effectively in the Assurance Report

~~107.155.~~ 155. An assurance conclusion expressed in a binary manner may not be able to communicate the complexities identified above sufficiently without further contextual information to aid the intended users' understanding.

~~108.156.~~ 156. A key consideration for the practitioner is whether the report will convey sufficiently clearly to the intended users:

- a) Who the assurance report is intended for, and for what purpose;
- b) What information has been assured and what has not been, when the scope of the assurance is not the EER report as a whole; What nature and level of assurance has been obtained and what has not;
- c) By reference to what criteria the assurance has been obtained;

- d) The level of assurance that has been obtained and what that means in terms of the confidence that a user can have in the subject matter information.

~~109.157.~~ Paragraphs 68 and A158-A160 of the standard allow for flexibility in how and what may be included in the assurance report, provided the required elements in paragraph 69 of the standard are included, and it is clear that other information and explanations included as context or information are not intended to detract from the practitioner's conclusion. This means that, although the assurance conclusion is expressed in a binary way, the practitioner may include other information in their report to explain the basis and provide appropriate context for the assurance conclusion.

~~110.158.~~ Paragraphs yyy to xxx below address each of the basic elements of the report required by paragraph 69 of the standard, and provide guidance and examples to assist practitioners in making decisions about information that may be added to the report in respect of each basic element to facilitate effective communication with the intended users.

~~111.159.~~ Setting the context for the assurance conclusion in a clear, informative way that:

- a) Keeps a clear focus on the intended users; and
- b) Neither omits information that would assist the user nor includes information that obscures the messages

may assist in enhancing the intended users' understanding of the assurance engagement and the confidence they can justifiably have in the subject matter information. The guidance and examples are not intended to provide the only approach but are included as illustration.

~~112.160.~~ It may be helpful for the practitioner to bear in mind the relevance, reliability, completeness, neutrality and understandability (see paragraph 119) of the information to be included, when preparing the assurance report. An assurance report is likely to be:

- a) Relevant when it includes those matters that are likely to enhance users' understanding of the assurance conclusion, and confidence in the subject matter information, i.e., it does not include information that detracts from the ability to understand the practitioner's conclusion about the subject matter information;
- b) Reliable when it:
 - i) communicates transparently the information about the engagement that was performed, the criteria, subject matter, a summary of the work performed, and other factors that are necessary for users' understanding of the basis for the assurance conclusion, and
 - ii) does not mislead users either inadvertently (for example, by not applying sufficient rigor or precision in the wording used in the assurance report to reflect the basis for the conclusion) or intentionally (for example, by using positive observations and explanation to weaken or avoid a modified conclusion);
- c) Complete when it does not omit information relevant to users' understanding of the practitioner's conclusion;

- d) Neutral when it presents the summary of work performed in an objective way and does not overstate or embellish it⁶, and the conclusion follows from the procedures performed and the evidence obtained;
- e) Understandable when it is clear for whom the subject matter information and related assurance are intended, the purpose of the assurance report, and the degree of confidence the user can draw from the practitioner's conclusion.

A title (paragraph 69 (a))

~~113.161.~~ The first element required by paragraph 69 of the standard is a title. The title identifies the nature of the report, distinguishes it from a non-assurance report and delineates it from information for which the preparer is responsible and which has been included within a wider document prepared by the preparer. It may aid user understanding for the title to include sufficient informational content to make it clear whether it is a limited or reasonable assurance report and what the assurance report is over i.e. what the subject matter information is over.

For example:

Independent Limited Assurance Report to the [Intended Users] on the Selected Sustainability Information in ABC PLC's Sustainability Report

An addressee (paragraph 69 (b))

~~114.162.~~ An addressee identifies to whom the assurance report is directed. Assurance engagements need at least three separate parties (the practitioner, responsible party, and the intended users); the responsible party may also be the preparer and the engaging party, and the responsible party can be one of the intended users, but not the only one⁷.

~~115.163.~~ The assurance report is usually addressed only to the engaging party or the directors of the engaging party,. However, if users are not identified, the context for the assurance conclusion being expressed in terms of 'in all material respects' is incomplete as materiality considerations take account of what is relevant to the needs of users. The practitioner may, therefore, consider stating who the intended users are as a group (limit to those with significant and common interests as identified by the entity⁸).

~~116.164.~~ As indicated in the example above, the title may simply refer to 'the Intended Users' and within the body of the assurance report it would be made clear who those intended users were. It is the preparer's responsibility to identify the user/s and purpose of report; the assurance practitioner reflects what has already been disclosed by the preparer. The practitioner may also wish to state who the assurance report is not intended for.

⁶ [ISAE 3000 \(Revised\) paragraph A177](#)

⁷ [International Framework for Assurance Engagements paragraph 35](#)

⁸ [ISAE 3410 paragraph A47](#)

For example, in the body of the assurance report, an explanation of who the intended users are might read:

The Intended Users of this report are the shareholders of ABC plc as at [date]. This report is not intended for any other users as their needs have not been taken into account in performing our assurance procedures and preparing this report.

or

This report has been prepared, under [name of framework] and the related criteria as further developed by the entity and set out on page x, for the shareholders of the company and not for wider groups of stakeholders, whose reporting needs may differ from those for whom the report was prepared.

117.165. The practitioner may also consider it appropriate to include information about the materiality considerations so that it is transparent to the intended user what tolerance for misstatement has been applied in conducting the assurance engagement.

For example:

In planning and performing our assurance engagement, we set thresholds for materiality to help us determine the nature, timing and extent of our procedures and to evaluate the effect of misstatements we identify in the subject matter information during the course of our work. We . consider the effect of identified misstatements both on their own and when aggregated with other misstatements when reaching our conclusion about whether the subject matter information has been prepared in all material respects accordance with the stated criteria. We also consider qualitative factors such as how the subject matter information has been presented within the [identified report] and whether identified misstatements have resulted in ABC's non-compliance with laws or regulations.

Based on our professional judgment, we determined materiality for the [identified subject matter] as follows:

Scope 1 greenhouse gas emissions: 5% of ABC PLC's reported Scope 1 greenhouse gas emissions [could include others to show multiple subject matter information]

This threshold means that a misstatement of x tonnes of CO₂e either as an individual misstatement or as an aggregate of smaller misstatements would lead us to conclude that the Scope 1 emissions had not been prepared in all material respects with the stated criteria. [consider including wording that explains that as testing is on a selective basis, the misstatements we base our conclusions on are only those that we have identified, but there may be others, and that for limited assurance there is greater risk that such misstatements may exist and not be identified].

For narrative information, materiality considerations consider qualitative matters, including balance, understandability, lack of bias etc.

An identification or description of the level of assurance, the subject matter information and, when appropriate, the underlying subject matter (paragraph 69 (c))

~~118.166.~~ An identification or description of the level of assurance, the subject matter information and, when appropriate, the underlying subject matter:

- a) Indicates to users the level of assurance obtained in relation to the subject matter information (the degree of confidence they can have in the subject matter information).
- a) Identifies the subject matter information and, when appropriate, the underlying subject matter making it clear what has been assured, and linking the output of the engagement to the scope of the engagement

~~119.167.~~ It may not be clear to the intended users what the difference is between a limited and reasonable assurance engagement. This may create an expectation gap between the assurance actually obtained and what the user believes has been obtained. The users may therefore take an inappropriate degree of comfort from the assurance report when making decisions. The practitioner may consider it helpful to include in the assurance report an indication of the differences between limited assurance and reasonable assurance to aid user understanding. It may also be useful to explain that, in a reasonable assurance engagement, procedures are described only briefly because, in a reasonable assurance engagement, in all cases where an unmodified report is issued, sufficient appropriate evidence has been obtained to enable the practitioner to express an opinion (a high level of assurance)⁹; As limited assurance covers a greater range in what is meaningful, procedures are therefore described more fully.

⁹ [ISAE 3410 paragraph A142](#)

For example:

We include a description of the procedures we have performed because, in a limited assurance engagement, possible assurance approaches may range from applying very limited assurance procedures to applying fairly extensive procedures. The confidence the Intended Users are able to have in the reported [identify subject matter information] is greater where extensive procedures have been performed than where very limited procedures have been performed. We want the Intended Users to understand how confident they can be in the subject matter information, based on the extent of our assurance procedures and the persuasiveness of the evidence we have obtained.

In a reasonable assurance engagement, procedures are described only briefly because sufficient appropriate evidence is obtained to enable the practitioner to express an opinion (a high level of assurance).

This engagement is a limited assurance engagement.

Alternatively, it may be possible to -show, on a scale, the persuasiveness of evidence the practitioner has obtained to aid the user's understanding of confident they may be in the subject matter information. For example, it may be possible to set out a scale such as the following:

0, 1, 2, 3, 4, 5, 6 where:

0 is no evidence to support/not at all comfortable

1 is minimal evidence to support/not comfortable

2 is a little evidence to support/somewhat comfortable

3 is moderate evidence to support/fairly comfortable

4 is moderately high level of evidence to support/comfortable

5 is persuasive evidence to support/very comfortable

6 is conclusive evidence to support/completely confident

If such a scale were used it would need to be made very clear that this was not part of the assurance conclusion but an indication only of the level of comfort behind the conclusion.

~~120.168.~~ _____ Characteristics of the underlying subject matter or subject matter information included as contemplated in paragraph 69 (c), may be included if doing so would assist users' understanding of areas of significant practitioner judgment. User understanding is also likely to be enhanced if it is clear what the reasons are for inclusion and how the matter was addressed.

Identification of the applicable criteria (paragraph 69 (d))

~~121.169.~~ _____ Identification of the criteria in the assurance report allows the user to understand the benchmarks used to measure or evaluate the underlying subject matter.

~~122.170.~~ _____ As discussed in Chapter 3, it is a precondition for assurance that the criteria are available to intended users so that users can understand the basis on which the subject matter information

has been prepared. It may be useful for the practitioner to remind the preparer at the start of the engagement that the preparer is responsible not only for the identification of the criteria and the measurement or evaluation of the underlying subject matter against the applicable criteria, but also for making the criteria available to the intended users.

~~123.171.~~ If the criteria are not available publicly, for example where the entity has used its own criteria to identify, record and report the subject matter information or has applied a process to further develop the high level principles of a reporting framework, those entity-developed criteria need to be made available to the intended users in one of the other ways set out in paragraph A51 of the standard.

~~124.172.~~ If the criteria will not be available, then the preconditions for assurance won't have been met and assurance cannot be provided. If the preparer does not include the criteria in the subject matter information and they are not otherwise available from a readily accessible source, they are included in a clear manner in the assurance report.

~~125.173.~~ Where the criteria are not included in the subject matter information or otherwise available, the practitioner may need to include them in the assurance report to enable the intended users to understand how the subject matter information has been prepared and to meet the requirements of the standard. However, criteria made available in this way would need to be just as detailed as they would need to be had they been made publicly available or made available within the preparer's report. Including, in the assurance report, only a brief summary of the criteria would not enable the intended users to understand the basis of preparation of the subject matter information. However, it is the preparer's responsibility for making the criteria available to the intended users; including them in the assurance report is not ideal.

~~126.174.~~ Criteria need to be readily available to intended users; it should not be difficult for the intended users to find the criteria that are needed to understand how the subject matter information has been prepared. For example, a hyperlink from the preparer's report to an entity's home web page may not be sufficient if the user then has to navigate from the home page to another page where the criteria are set out.

~~127.175.~~ In order to enhance the intended users' understanding of the assurance report, it may be helpful for the practitioner not only to identify the criteria used, but also to indicate where they may be found, and to identify them by name, date or version number. Changes may be made by the preparer to the criteria over time and is important that the assurance report identifies the actual criteria that were used in performing the assurance engagement.

For example the assurance report may refer to the criteria as follows:

The Reporting Criteria used by ABC to prepare the subject matter information are set out in "ABC's Basis of Preparation of the Sustainability Information 2019" available at www.ABC.com/ara2019/downloadbasisofpreparation

~~128.176.~~ Sometimes preparers may report the subject matter information using more than one framework; In such a case, user understanding is likely to be enhanced if the criteria relating to each framework are made available separately, rather than being summarized or combined.

~~129.177.~~ A preparer may not wish to disclose the criteria on the grounds that they are confidential or commercially sensitive. However, without the criteria being made available, the intended user would not be able understand how the subject matter had been measured or evaluated and the requirements of the standard would not have been met. In such a situation, the rational purpose of the engagement may be called into question. For example, if there is sensitive information that only a few may be party to (for example in a contractual arrangement), then it may be expected the assurance report would be made available only to those users who are party to the contract, and would not be more widely available in which case the criteria could be made available to the intended users. Where the preconditions will not be made available to the intended users or are so summarized that they are not likely to be regarded as suitable, the preconditions for the assurance engagement will not have been met.

Where appropriate, a description of any significant inherent limitations associated with the measurement or evaluation of the underlying subject matter against the applicable criteria (paragraph 69 (e)).

~~130.178.~~ It may be useful to consider this requirement in conjunction with the requirement of paragraph 69 (c)) as it may be clearer to refer to any inherent limitations when discussing the characteristics of the underlying subject matter, rather than in a separate, isolated paragraph.

~~131.179.~~ While in some cases, inherent limitations can be expected to be well-understood by the intended users of an assurance report, in other cases it may be appropriate to make explicit reference to them in the assurance report¹⁰.

~~132.180.~~ Some inherent limitation wordings may have become standard, for example those relating to measurement methods applied to greenhouse gases, for which examples can be found in ISAE 3410 However, it may be unclear to a user what impact the described limitations have on the assurance conclusion, for example, whether the assurance conclusion ‘stands’ or whether the inherent limitations weaken the practitioner’s conclusion and, if so, in what way and by how much. To enhance user understanding, the practitioner may consider:

- a) When inherent limitations can be expected to be well-understood, whether it is necessary to include them as standard language in the assurance report;
- b) Whether it may be helpful to explain not only that there are limitations, but also the impact on the assurance procedures and the assurance conclusion;
- c) Whether there are unusual subject matter specific limitations that may need to be described in more detail to be understood by a the intended users and how the description of such limitations can be worded so that it avoids ‘boilerplate’ language and helps the intended users to understand the implications in the specific context of the subject matter information and assurance engagement.

¹⁰ [ISAE 3000 \(Revised\) paragraph A165](#)

~~133.~~181. It will also be important that any description of inherent limitations is clearly separated from the practitioner's conclusion so that it such a description is not read by users as, in some way, modifying the assurance conclusion.

When the applicable criteria are designed for a specific purpose, a statement alerting readers to this fact and that, as a result, the subject matter information may not be suitable for another purpose (paragraph 69 (f))

~~134.~~182. To avoid misunderstandings, the practitioner alerts readers of the assurance report to the fact that the applicable criteria may be designed for a specific purpose. It may be helpful for the practitioner to consider this requirement in conjunction with the requirement in paragraph 69 (b).

A statement to identify the responsible party...and to describe their responsibilities and the ~~practitioner's responsibilities~~ practitioner's responsibilities (paragraph 69 (g))

~~135.~~183. A statement to identify the responsible party informs the intended users who is responsible for the underlying subject matter and the measurement or evaluation of the underlying subject matter against the applicable criteria, and that the practitioner's role is to independently express a conclusion about the subject matter information¹¹.

~~136.~~184. It may help to enhance users' understanding of the boundaries of the respective roles, and avoid the perception that assurance may be there to 'fill the gaps' by explaining in the assurance report why assurance provider cannot become involved in the preparation of the subject matter information. , i.e., assurance is designed to give an independent conclusion over the subject matter information.

¹¹ ISAE 3000 (Revised) paragraph A168

For example:

The *Directors ABC PLC* are responsible for:

- *Designing, implementing and maintaining systems, processes and internal controls over the preparation of [identified subject matter information];*
- *Establishing suitable reporting criteria for preparing the [identified subject matter information] and making the reporting criteria available to the intended users of the [name of report];*
- *Measuring or evaluating and reporting the [identified subject matter information] based on the reporting criteria;*
- *Maintaining proper documentation and records to support the reported information.*

We are responsible for planning and performing the engagement to obtain [limited/reasonable] assurance about the [identified subject matter information] and for forming an independent conclusion, based on the procedures we have performed and the evidence we have obtained. As we provide an independent conclusion, we are not [permitted to be] involved in the preparation of the subject matter information as doing so may compromise our independence.

A statement that the engagement was performed in accordance with ISAE 3000 (Revised) or a subject-matter specific ISAE (paragraph 69 (h))

~~137.~~185. Such a statement enables users to understand which standard /s governing the conduct of the engagement.

~~138.~~186. Performance of the engagement under ISAE 3000 (Revised) requires compliance with all of the applicable requirements of the standard. Where a subject matter specific ISAE (e.g. 3400, 3410), is used, compliance with both the standard and with ISAE 3000 (Revised) is required.

~~139.~~187. Practitioner's statements that contain imprecise or limiting language (for example "the engagement was performed by reference to ISAE 3000") may mislead users of assurance reports.¹² Users are not likely to be able to differentiate between an assurance engagement carried out 'in accordance with ISAE 3000 (Revised)' and an assurance engagement carried out 'by reference to' or 'based on' ISAE 3000 (Revised). While the former meets all the requirements of the standard; the latter may apply only certain aspects of the standard and the user would not necessarily be aware of this. If all the requirements of the standard have not been complied with, then no reference to the standard should be made in the assurance report.

¹² [ISAE 3000 \(Revised\) paragraph A170](#)

For example:

A statement as follows is acceptable:

We performed a limited assurance engagement in accordance with International Standard on Assurance Engagements 3000 (Revised) 'Assurance Engagements other than Audits and Reviews of Historical Financial Information', and, in respect of the greenhouse gas emissions, in accordance with International Standard on Assurance Engagements 3410 'Assurance engagements on greenhouse gas statements', issued by the International Auditing and Assurance Standards Board.

A statement such as the following is not in line with the requirements of the standard

We performed our work having regard to ISAE 3000 (Revised)

or

Our assurance engagement was performed on the basis of ISAE 3000 (Revised)

~~140-188.~~ If the practitioner has been engaged to provide assurance under two different standards, for example, both ISAE 3000 (Revised) and AA1000 AS, the requirements of both standards should be met.

A statement that the firm of which the practitioner is a member applies ISQC 1, or other professional requirements, or requirements in law or regulation that are just as demanding (paragraph (69) (i))

[Task Force giving further consideration to this paragraph]

A statement that the practitioner complies with the independence and other ethical requirements of the IESBA Code, or other professional requirements, or requirements imposed by law or regulation, that are at least as demanding as Parts A and B of the IESBA Code related to assurance engagements (paragraph 69 (j))

[Task Force giving further consideration to this paragraph]

~~141-189.~~ [not covered as independence and ethics were not identified as causing any difficulty for ~~practitionerspractitioners~~]

An informative summary of the work performed as the basis for the practitioner's conclusion (69 (k))

~~142-190.~~ Such a summary enables the intended users of the assurance report to understand what has been done in the context of the particular engagement as the basis for the practitioner's conclusion. For many assurance engagements, infinite variations in procedures are possible in theory, making it difficult to communicate clearly and ambiguously. Paragraph A176 of the Standard sets out factors to consider in determining the level of detail to be provided in the summary of work.

~~143-191.~~ It is important that the summary be written in an objective way that allows intended users to understand the work done as the basis for the practitioner's conclusion. In most cases, this will not

involve detailing the entire work plan, but on the other hand it is important for it not to be so summarized as to be ambiguous, nor written in a way that is overstated or embellished.¹³ ‘Boilerplate’ language is unlikely to aid the intended users’ understanding; describing the work performed in sufficient detail for a user to understand both the nature and extent of the procedures and what that means in terms of their ability to have confidence in the subject matter information is likely to be more helpful. However, a description that is too detailed may detract from the users’ understanding.

~~144.~~192. The procedures for limited assurance may appear to a user to be more comprehensive than the procedures described for a reasonable assurance engagement so, as discussed in 129 above, it may be helpful for the practitioner to explain why this is the case.

For example:

We are required to plan and perform our work in order to consider the risk of material misstatement of the [identified subject matter information]. In carrying out our limited assurance engagement, we:

- Held discussions with key management of ABC PLC to understand the governance over their reporting of the [identified subject matter information], and the processes, systems and controls they use to identify, record, check and report the [identified subject matter information]*
- Traced one example of each [transaction] through the system from recording to reporting to confirm our understanding of the governance, systems, processes and controls management had described to us, but we did not test the design of the internal controls or whether they operated effectively over the reporting period*
- Visited eight manufacturing sites out of a total of sixty sites. Selection of these sites was made on the basis of their inherent risk and materiality to the group*
- Tested, at each site visited, [describe what was tested], which were selected on a haphazard basis by reference to underlying evidence [describe nature of evidence] that the subject matter information had been reported in accordance with the criteria set out on page xx of the [name of report]. Where misstatements were discovered in the initial selection, we held discussions with management and personnel responsible for the information to determine the reasons for the errors, omissions or other misstatements, and we extended our testing by another [x] items to determine whether further misstatements were present*
- Considered the presentation and disclosure of the [identified subject matter information]*

~~145.~~193. Where experts are used, it may be helpful to include information relating to the extent of specialized skill or knowledge needed to apply assurance procedure to address a particular matter or to evaluate the results of those procedures. However, if the practitioner refers to the work of an expert, the wording in the assurance report cannot imply that the responsibility for the practitioner’s conclusion is reduced because of the involvement of the expert¹⁴. Paragraph A187 notes that additional wording may be needed to prevent the assurance report implying that the practitioner’s

¹³ ISAE 3000 (Revised) paragraph A173

¹⁴ ISAE 3000 (Revised) paragraph 70

responsibility is reduced because of the involvement of an expert. [Task Force proposes to include an additional example here]

The practitioner's conclusion (paragraph 69 (I))

~~146.~~194. The assurance conclusion is the objective of the assurance engagement and is designed to enhance the degree of confidence of the intended users about the subject matter information. However:

- a) Users may not readily understand the 'double negative' wording used to express a limited assurance conclusion
- b) The standard requires the conclusion to be expressed in one of two ways. Conclusions expressed in a different way, for example, by referring to 'moderate' or 'high' levels of assurance stating 'We conclude that...' do not meet the requirements of the standard and may not assist users' understanding
- c) As discussed in paragraph, the concept of 'in all material respects' may not be understood, especially if it is unclear who the intended users are
- d) Conclusions may not be clearly delineated from other information in the assurance report, so it is unclear what the conclusion/s is/are.
- e) Some practitioners may want to include recommendations and other observations within the assurance report. While this is permitted under the standard, considerations relevant to deciding whether to include such observations in the assurance report include whether their nature is relevant to the information needs of intended users.
- f) Including observations of 'good practice' may be misunderstood by users to be part of the assurance conclusion, which may exacerbate the lack of clarity arising from the matter discussed in (d) above. Including those matters where recommendations have been made may raise questions in a user's mind as to whether or not they have not been appropriately dealt with in preparing the subject matter information or may be misunderstood as a qualification of the practitioner's conclusion on the subject matter information¹⁵.

¹⁵ [ISAE 3410 paragraph A151](#)

For example, the wording immediately below makes it clear what the conclusion is:

Based on the work we have done/procedures we have performed, as described under the 'Work done' section of this report, and the evidence we have obtained, nothing has come to our attention that causes us to believe that the [identified subject matter information] has not been prepared in all material respects in accordance with the stated criteria.

However, the following wording is not in accordance with the requirements of the standard and it is both unclear and potentially misleading to a user as to what it means:

We note that ABC PLC is committed to holistic sustainability reporting and has made significant progress in its in-depth reporting of its sustainability impacts. We conclude that the information presented in ABC PLC's sustainability report is balanced and accurate.

147.195. It may be helpful to explain that the 'double negative' conclusion reflects a lower level of assurance than reasonable assurance because of the limited nature of procedures performed (nothing has come to our attention) It does not mean that there is nothing that could have come to the attention of the practitioner but, rather, that the procedures would not necessarily have been expected to result in anything coming to their attention due to the limited nature of the procedures.

148.196. 69 (m) to (o) – not covered as these are unlikely to present any barrier to the users' understanding.

[The Task Force proposes to include an additional example here to illustrate multiple conclusions]

